



Rising Beyond Limits

Rising Beyond Limits

Achieving growth is a challenging but also an achievable task. The resulting milestones of achievement which brought to us the recognition of being awarded as the fastest rising Life Insurance Company have helped us reach beyond expectations as we go forth with pride and confidence to report a successful performance for the financial year 2017.

By refocusing our strategies to provide convenience, reachability and affordability for our esteemed customers and by making timely decisions to enhance our brand value and expand our market reach, we were able to strengthen our relationships while building a sustainable future. This has proved to be powerful and instrumental in leading our organization into the future while Rising Beyond Limits.



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Management Discussion & Analysis

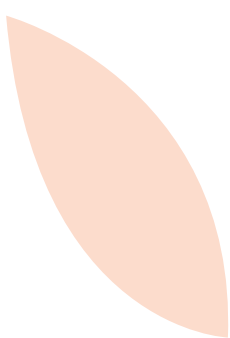
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VISION

To be the most trusted and innovative solutions provider for life insurance needs



MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability



VALUES OF THE COMPANY

To serve customers with care, compassion and respect.

To do the right thing for the right reason.

Always think to lead in new ways and introduce result oriented solutions to customers.



Always nurture and value team spirit along with satisfaction.

Ensure maintenance of high ethical standard in all professional aspects and practices of the Company.



HIGHLIGHTS OF THE YEAR



GWP

39%

PROFIT

91%

LIFE FUND

41%

TOTAL ASSETS

33%

EPS

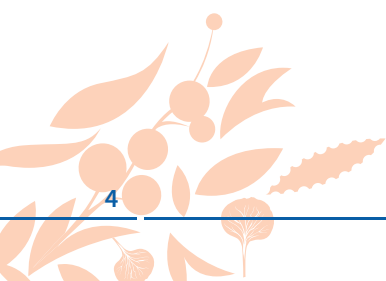
91%

INVESTMENT PORTFOLIO

8%

NUMBER OF POLICIES

53%

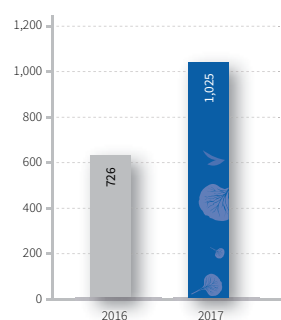




	2017 Rs. Million	2016 Rs. Million	Growth %
GWP	1,038	745	39
Life Fund	1,025	726	41
Profit	206	107	91
Total Assets	2,104	1,587	33
Investment Portfolio	1,346	1,245	8
Number of Policies (No.)	17,604	11,478	53
EPS (Rs.)	3.11	1.63	91

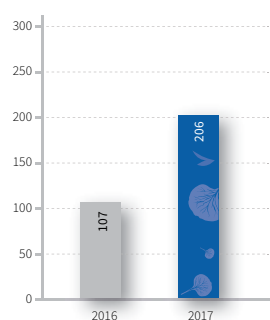
Life Fund

Rs. Million



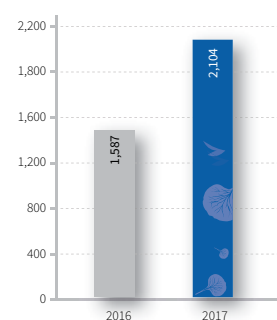
Profit

Rs. Million



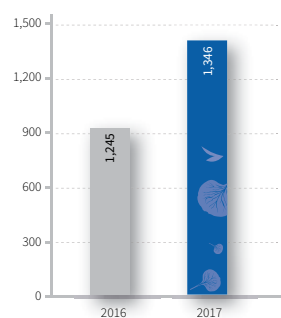
Total Assets

Rs. Million



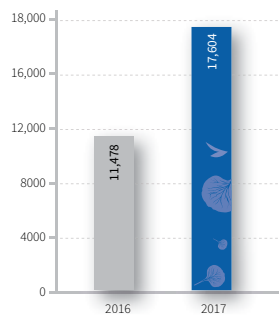
Investment Portfolio

Rs. Million



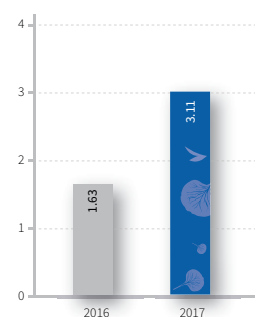
Number of Policies

No.



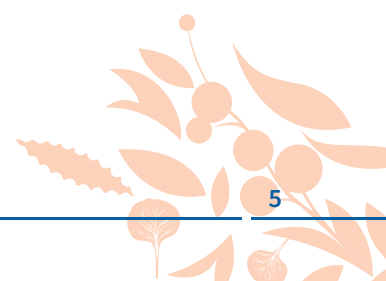
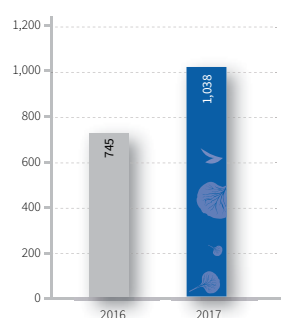
EPS

Rs.



GWP

Rs. Million



KEY MILESTONES

2011 June

Incorporated as Public Limited Company under the name “Arpico Insurance Limited”.

2011 October

IRCSL granted the license to Arpico Insurance to act as a Life Insurer primarily conducting Life Insurance business in Sri Lanka.

2012 January

Launching of Arpico Insurance and commencement of its Operations at the Hyde Park Corner Office.

2012

Reached Rs. 100 Million GWP in the first year of commercial operations.

2017

Awarded as the fastest growing Life Insurance Company Sri Lanka 2017 at the Global Banking and Finance Review in 2017.



KEY MILESTONES Contd.

2013 July

Head office shifted to new premises at Vauxhall Lane to facilitate growth.

2014 December

First Life Insurance Company to record a profit in its third year of operation.
Initial Public offering of Arpico Insurance shares to public.

2015

Started trading on CSE (*Diri Savi* Board), increasing the geographical presence to 24 branches.

2016

Achieved a profit of Rs. 107 Million for the financial year 2016.



ACTING CHAIRMAN'S MESSAGE



The year 2017 could be treated as a very promising year for Arpico Insurance with sharp growth and increasing profitability. This was a result of many important and timely, strategic decisions taken by the senior management at the latter part of 2016.

In spite of the challenging economic environment further impaired by the spate of natural disasters and intense competition from a saturated industry, Arpico Insurance succeeded in achieving a creditable profit growth of 91 percent in 2017. In this opportune backdrop, I am pleased to recap the highlights of the year under review and present our vision and aspirations for the future.

GLOBAL AND SRI LANKAN ECONOMIC BACKDROP

The world economy began a slow recovery process from the lackluster performance recorded in 2016. However, this recovery may not be very sustainable with growth remaining

“We maintain a culture of efficiency and productivity supported by timely rewards and recognition of employee contributions.”

Arpico Insurance PLC **awarded;** “The Fastest Growing Life Insurance Company Sri Lanka 2017”

Global Banking and Finance Review



weak in many countries and inflation remaining below target in most advanced economies. The global shift towards protectionism is likely to harm cross border investments and global growth. Geopolitical tensions experienced following the shift of power in the US coupled with weak governance in many countries are likely to derail growth.

The spillover from the unfavourable weather conditions caused the Sri Lankan economy to grow at a slower rate of 4.4 percent in 2016 while the economic growth recorded during the first half of 2017 was 3.9 percent slightly higher than the growth experienced during the corresponding half of the previous year, (3.7 percent).

While the Agricultural sector performance was severely affected by weather conditions, the Services sector which constitutes 56.5 percent of real GDP grew by 4.2 percent in 2016, on a year-on-year basis with a contribution of 8.5 percent from the Insurance sector.

As a result of pressure from increased imports, incessant foreign debt payments as well as outflows on account of reversal of foreign investments from the government securities market amidst monetary policy normalization in the USA, the rupee depreciated against major currencies during 2016 and 2017. The value added of insurance, reinsurance and pension funding indicated a slowdown during the year 2017 in comparison to the year 2016.

ACTING CHAIRMAN'S MESSAGE Contd.

SECTOR REVIEW

During the year under review, a number of macro-economic factors such as the rise in the cost of living and the lack of awareness about Life Insurance posed a collective threat to the growth of the Life Insurance sector in Sri Lanka. However, the introduction of new products such as retirement planning and investments infused much needed fuel to the growth opportunities in the industry.

In the year 2016 the GWP (Gross Written Premium) growth of the Life Insurance industry was at 18.3 percent. In an industry dominated by the top five players, Arpico Insurance recorded a policy growth rate of 53 percent during 2017 when compared to the previous year. Consequently, the Company sustained a commendable growth rate of 39.2 percent in terms of gross written premiums during the year.

COMPANY GROWTH AND STRATEGIC REALIGNMENT

During the year under review we achieved a 39.2 percent growth superseding the industry growth of 12 percent. In November 2017, the Global Banking and Finance Review recognised Arpico Insurance as the fastest growing Life Insurance Company in Sri Lanka. During the year, 2017 the company succeeded in reaching a GWP of Rs. 1 Billion which was truly a valued milestone for the Company.

The increase in profitability and our numerous achievements can be attributed to the well-positioned and perceptive strategic changes that the Company adopted during the year under the guidance of our Group Chairman and the Board of Directors. Following in depth market and risk analysis, we took steps to expand our branch network to 40 branches at selected locations island wide.

Moreover, we took the strategic decision to restructure our entire sales and distribution network in order to focus on growth and profitability not only within the year but also as a long-term growth measure. We backed our efforts to increase the efficiency and capabilities of the entire workforce with the addition of fresh talent to the pool and through strengthening the skills and the structure of the back office employees to enhance customer service excellence.

EMPLOYEES

Our people are the backbone of the Company and we continue to explore business growth through extending support to employees themselves to pursue success and growth. Our efforts to reinforce the dynamic work culture that we already possess include training and skill development opportunities of global standards as well as the provision of career growth prospects.

We maintain a culture of efficiency and productivity supported by timely rewards and recognition of employee contributions. The Insurance industry is a highly competitive one and our employees receive above industry income and well-established career advancement opportunities which enables them to perform well above industry standards.

CUSTOMERS

At Arpico Insurance, our primary focus in terms of business process centers is to provide convenience and high quality service to our customers. During the year under review, we have engaged in a thorough trend analysis and technological advancements in order to provide enhanced services to our customers.

Our inherent capability to serve our customers well has been reinforced by the brand strength of Richard Pieris and Co. (Arpico Group) which is a trusted name amongst all Sri Lankans. We continue to draw inspiration and insights into improving our service offerings to customers from the example set by Richard Pieris and Co. while consistently gathering industry specific requirements in line with customer needs.

CORPORATE GOVERNANCE

Arpico Insurance operates from the understanding that sound Corporate Governance practices contribute towards sustainable growth and healthy value creation for all stakeholders. Our long-term success and that of all our stakeholders depend on transparent and solid Corporate Governance practices. Our Corporate Governance structure has been designed to enable the smooth and purposeful functioning of the Company.

In addition, we have taken concrete steps to create a culture of integrity amongst employees through the implementation of the Company Code of Conduct.

ACTING CHAIRMAN'S MESSAGE *Contd.*

Our overall efforts at effective Corporate Governance translates into a well-structured mechanism in which we achieve Company objectives to create stakeholder value. The Board of Directors drives the Company's governance mechanism with a vision to achieve long-term success through engaging all stakeholders in the process. In short, our Corporate Governance framework underpins the Board's accountability to the Company and its other stakeholders.

FUTURE OUTLOOK

As a young Insurance Company we have been able to come a long way during a short period of time. We will continue to build on our strength and focus on propelling the Company towards greater heights in the years to come. Our plans for the immediate future include a resilient expansion drive as well as measures to implement 100 percent coverage to our customers. Within the next two years, we hope to effectively increase the presence of Arpico Insurance to reach all potential customers across the country.

ACKNOWLEDGMENT

As we continue on our journey to grow by leaps and bounds, I would like to offer my sincere appreciation and gratitude to our Group Chairman Dr. Sena Yaddehige for his inspirational and visionary leadership which continues to lead us towards success. I would also like to extend my gratitude to our employees who drive our success with their professionalism and strong work ethics.

The Board of Directors have been steering us forward with their collective yet diverse set of strength and I am grateful for their astute vision and perseverance. Last but not least, I would like to offer my heartfelt appreciation of our shareholders who have been the pillars of strength from inception.



Mr. Viville Perera

Acting Chairman

20th March 2018



BOARD OF DIRECTORS

Mr. Viville Perera

Acting Chairman

①

Mr. Viville Perera is a science graduate from the University of Kelaniya with second class honours and a Fellow Member of The Chartered Institute of Management Accountants and an Associate Member of the Chartered Institute of Marketing, UK. Mr. Perera has over 34 years of experience in the senior managerial capacity at leading business organisations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group), Amico Group of Companies and Alliance Finance Co. PLC. He has served at the Sri Lanka Institute of Packaging as Treasurer from 1992 to 1997 and as Vice President from 1999 to 2002. Mr. Perera has been representing the Company on the Executive Committee of the Industrial Association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce since 2011. He is also on the Board of Directors of Several Companies of Richard Pieris Group.

Mr. S Sirikananathan

Independent Non-Executive Director

②

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasiri & Company. He also served on the Boards of Associated News Papers of Ceylon Ltd (ANCL) as Director/Financial Consultant and Bartleet Finance PLC, as Independent Non-Executive Director, Audit Committee Chairman and Remuneration Committee Member.

Mr. Sirikananathan possesses over 40 years of audit experience with KPMG and has engaged in audits of star class Hotels, Conglomerates, Development Organisations, Multinational Banks, Finance Companies, Insurance Companies and several listed Companies.

Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and is also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya and has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.

Mrs. Lasinee Serasinhe

Independent Non-Executive Director

③

Mrs. Serasinhe is a Fellow of The Chartered Institute of Management Accountants (UK), Fellow of the Chartered Global Management Accountants and a diploma holder in Computer Programming. Mrs. Serasinhe has garnered over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL) (former Insurance Board of Sri Lanka). She took up duties as the Director General of IRCSL during a time when IRCSL had set up its office independently, and worked at the IRCSL until her retirement.

Whilst being the Director General of IRCSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an ex-officio member. Subsequently, she served the Ministry of Finance in the capacity of an advisor for a short period of time. Prior to taking up the post of Director General, IRCSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinhe has several years of experience in the field of Finance in the Private Sector prior to her entry into the regulatory arena. She currently functions as a consultant to the private sector and is attached to SSP Corporate Services (Pvt) Ltd.

Mr. Shiron Gooneratne

Non-Executive Director

④

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from the University of Leicester, United Kingdom.

He has held Senior Finance positions both locally and overseas.

Mr. Gooneratne began his career at GlaxoSmithKline, Consumer Health Care (former SmithKline Beecham) which is a Fortune 500 Company, as the Financial Accountant and through his dedication and expertise, rose up to the position of Finance Director. Thereafter, Mr. Gooneratne had held the positions of Chief Financial Officer at Sri Lanka Telecom PLC, Chief Financial Officer of Dilmah Ceylon Tea Company PLC and currently he is the Group Chief Financial Officer of Richard Pieris & Company PLC.



CORPORATE MANAGEMENT

Mr. M A Doolwala

①

Deputy General Manager – Operations

Mr. Doolwala counts over 17 years of experience in finance with 13 years committed to the Insurance Industry. He is an Associate Member of the Chartered Institute of Management Accountants, UK and holds an MBA from Cardiff Metropolitan University UK. He also holds a Diploma in Computer Studies from the National Centre for Computing, UK and has completed the Licentiate Exams from Insurance Institute of India.

Mr. W N C P Nishan

②

General Manager – Sales

Mr. Nishan counts over 25 years of experience in the industry. He has completed (AMTC) – LIMRA, LUTC Diploma in Insurance – LIMRA, Management Skills Course – IMS and Diploma in Marketing from Singapore Institute of Marketing.

Mr. H E T Sampath

③

General Manager – Sales

Mr. Sampath counts over 26 years of experience in the industry. He has completed Agency Management Training Course (AMTC) – LIMRA, Life Underwriter Training Council (LUTC) Diploma in Insurance – LIMRA and Management Skills Course – Institute of Management Studies (IMS).

Mr. K Bandara

④

Specified Officer

Mr. Bandara Counts over 15 years of experience in the industry in the executive grade out of which 11 years experience in Actuarial & Life Reinsurance. He is a BSc. (Hons), A.C.I.I. Chartered Insurer and over 23 years post qualification experience with SLIC. He is an Associate Member of the Chartered Insurance Institute London since 1991 and served two years with Richard Pieris & Company PLC as Group Insurance Manager.

Mr. T Perera

⑤

Assistant General Manager Technical/
Principal Officer

Mr. Perera counts over 20 years of experience in the Insurance Industry. He is an Associate Member of Chartered Insurance Institute and a Life Fellow Member of Insurance Institute of India. He holds a BSc. in Mathematics and Statistics degree from the University of South Africa and an MBA in Finance from the University of Colombo.

Mr. K Fernando

⑥

Manager – Life

Mr. Kaushal Fernando counts over 17 years of experience in Life Underwriting, Claims and holds responsibility for the technical operations of the policy processing. Prior to joining Arpico he served in many capacities at leading Insurance companies.

Mrs. L A C Priyanthi

⑦

Manager – Actuarial

Mrs. Priyanthi counts over 19 years of experience in the Insurance Industry. She holds a BSc. Degree with first class honors in Mathematics and statistics from University of Colombo and holds a M.Sc. in Actuarial Science also from the University of Colombo.

Ms. I A Edirisinghe

⑧

Manager – Finance

Ms. Edirisinghe counts over 3 years of experience in the Insurance Industry. She is an Associate Member of the Chartered Accountants of Sri Lanka and holds a BBA Degree with a second class upper division, specialized in the stream of Accounting from the Faculty of Management of the University of Colombo.



The background is a solid dark blue. Scattered throughout are stylized, lighter blue elements: several elongated, pointed leaves and a cluster of round berries on a thin stem in the upper right corner.

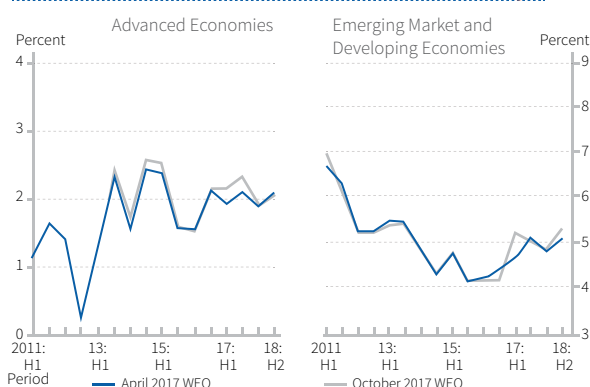
MANAGEMENT DISCUSSION & ANALYSIS

OPERATING ENVIRONMENT

GLOBAL ECONOMY

The Global economy continued on the path of recovery that began in mid-2016, gathering momentum during the year 2017. Economies in the Euro area, Canada, China and Japan continued to gather strength while the United Kingdom and the US indicated a marked down growth in comparison. However, the recovery appears to be unstable with growth rates slackening even though the baseline outlook is better. In advanced economies, while the outlook has improved, inflation remains weak with dismal prospects for robust GDP growth due to weak productivity and increasing old age dependency ratios. In the meantime, developing markets face a period of lackluster growth given stagnant per capita incomes recorded in several economies.

GDP Growth (Annualized semiannual percent change)



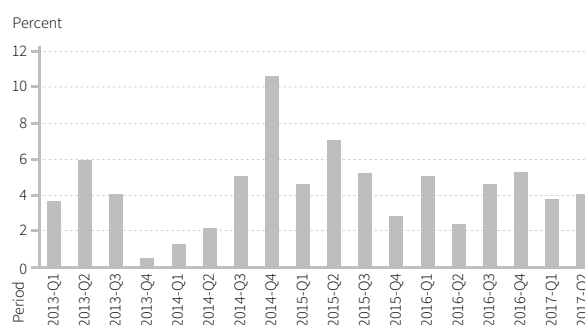
Source: World Economic Outlook

Recent forecasts predict a strong growth prospect for advanced economies with the exception of the United Kingdom and the United States while the growth forecast for emerging economies hover around 0.1 percent. Growth in the medium term face a number of risk factors due to potential hazards including tightening of global financial conditions, low inflation in advanced economies, a global shift towards protectionism and geopolitical tension.

SRI LANKAN ECONOMY

The Sri Lankan economy showed a slight improvement during the first half of the year 2017 with a growth rate of 3.9 percent in comparison to the 3.7 percent growth recorded in the corresponding period of the year 2016. Development in the industry activities supported by better performance in the services activities steered the growth while unfavorable weather conditions contracted growth in the agricultural sector.

Quarterly GDP Growth Rates (a)



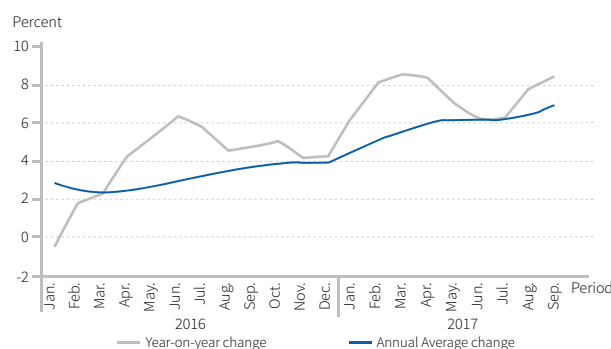
(a) The data is based on the base year 2010 GDP estimates of the Department of Census and Statistics.

Source: Central Bank of Sri Lanka

Mainly driven by adverse weather conditions and a decline in harvest, the agricultural and fisheries sector posted a severe decline of 11.5 percent during the first half of 2017 in comparison to the decline of 3.4 percent during the corresponding period in the previous year. Industry activities grew by 5.8 percent in the first half of 2017 indicating a similar pace of growth to the corresponding period in 2016. The expansion in the construction industry as well as mining and quarrying activities along with an increase in manufacturing activities steered this growth. Manufacturing activities however grew at a slower than expected rate. The value added of Service sector recorded an increase in growth during the first half of 2017, posting a growth rate of 4.0 percent in comparison to the growth rate of 3.6 percent recorded in the corresponding period of 2016. Growth in financial services, healthcare, education, real estate, transportation and accommodation related activities largely contributed to the overall growth.

While the year-on-year headline inflation proved to be somewhat volatile with periodical declines during 2017, the annual average CCPI (Colombo Consumer Price Index) inflation increased from 4.3 percent in January 2017 to 5.8 percent in September 2017.

Chart 4.1 Movements of Headline Inflation (2016-2017) NCPI (2013=100)



Source: Central Bank of Sri Lanka

OPERATING ENVIRONMENT Contd.

LIFE INSURANCE INDUSTRY REVIEW

While the Sri Lankan Life Insurance industry which consists of 14 companies has been growing since the year 2009, Life Insurance penetration in the country still remains low when compared to the rest of the region. The country's culture of collectivism and lack of awareness of Life Insurance products have largely contributed to this status quo. In the recent times however various macro-economic factors such as the rising cost of living have affected industry growth. Nevertheless, in the year 2016, the Life Insurance Industry recorded a Gross Written Premium (GWP) growth of 18.3 percent driven by a number of factors including enhanced awareness on insurance products and the introduction of new insurance products such as retirement planning and investment products to cater to the changing market dynamics. The industry showcased a 10.5 percent decrease in the number of policies sold during 2016 in comparison to the preceding year. While Direct and Bancassurance channels continued to grow during the year, Agency remained the core distribution channel for Life Insurance business with a contribution of 87.4 percent of overall GWP volume.

In 2016, the top five Life Insurance companies dominated the larger market share (80.2 percent). In order to pursue further growth opportunities, industry players should concentrate on exploring and leveraging on current market realities. Putting further weight on digital platforms and technologies as well as offering timely Life Insurance products will steer forward individual companies and the industry as a whole.

Industry Growth	2012	2013	2014	2015 (a)	2016 (b)
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Long Term Insurance Industry

GWP (LKR Million)	37,477	41,676	44,596	53,591	63,495
Growth rate in long term Insurance Premium (%)	6.6	11.2	7.0	20.4	18.3

Source: IRCSL Annual Report 2016

(a) Restated Audited Figures

(b) Provisional Figures

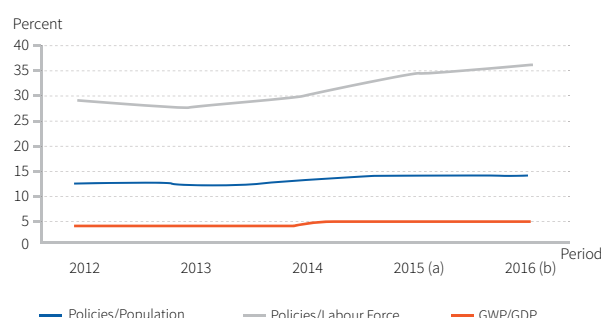
	2012 Rs. '000	2013 Rs. '000	2014 Rs. '000	2015 Rs. '000 (a)	2016 Rs. '000 (b)
Disability Benefits	77,717	45,457	436,518	430,617	591,147
Death	789,166	1,358,337	1,889,289	1,640,801	1,549,791
Surrenders	2,823,924	5,677,638	7,184,611	5,267,864	5,295,957
Maturity Benefits	7,860,715	9,839,833	9,754,751	11,687,811	12,712,720
Others	1,920,859	1,388,698	1,378,929	1,906,560	2,472,666

Source: IRCSL Annual Report 2016

(a) Restated Audited Figures

(b) Provisional Figures

Insurance Penetration – Long Term Insurance



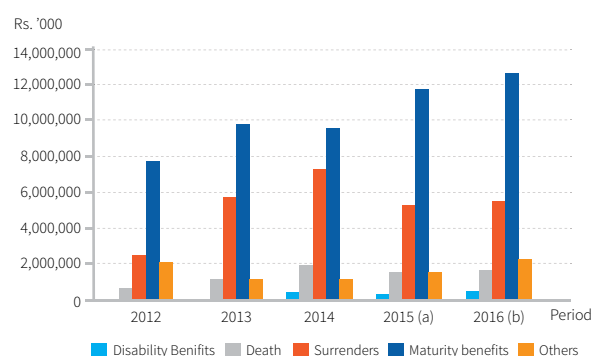
Source: IRCSL Annual Report 2016

According to statistics presented by the IRCSL (Insurance Regulatory Commission of Sri Lanka) the Profit growth (PBT) of life insurance businesses has decreased by 29 percent in the first three quarters of 2017 in comparison to 2016. Nevertheless, asset growth in the Life Insurance industry during the period increased by 15 percent, mainly driven by the asset growth of the Long Term insurance business. Moreover, during the period, Life Insurance business recorded a premium growth of 11.4 percent while investments in Government Securities increased by 10.94 percent. Industry wide investments in Corporate Debts increased by 12.71 percent.

CLAIMS AND MATURITY BENEFITS

During the year 2016, the Life Insurance industry paid off Rs. 22.6 Billion in claims and maturity benefits recording an increase. Surrenders as a percentage of in force policies rose from 1 percent in 2015 to 2 percent in 2016.

Claims and Maturity Benefits



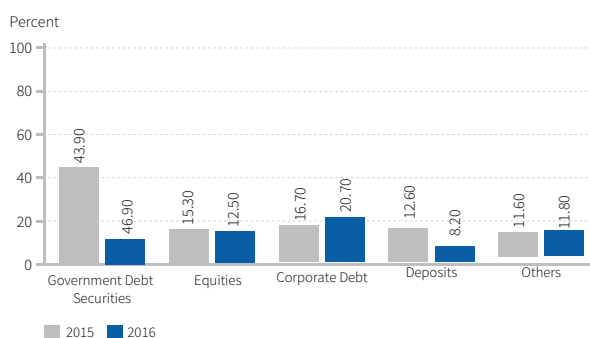
OPERATING ENVIRONMENT Contd.

ASSETS OF LONG-TERM INSURANCE BUSINESS

While the composition of the investment assets remained similar to that of the previous year, total assets held by the Life Insurance business increased by 10.5 percent. Investment in equity however recorded a decrease of 10 percent in comparison to the year 2015 as a result of the weak performance of the stock market driven by various macro-economic factors.

In 2016, investments in deposits decreased by 28 percent. In 2017, the Life Insurance industry contributed to a considerable increase in investment into corporate debt.

Concentration of Assets as at 31st December 2016 – Life Insurance



	2015 (a) %	2016 (b) %
Government Debt Securities	43.90	46.90
Equities	15.30	12.50
Corporate Debt	16.70	20.70
Deposits	12.60	8.20
Other	11.60	11.80

Source: IRCSL Annual Report 2016

(a) Restated Audited Figures

(b) Provisional Figures

ARPICO INSURANCE

During the year under review, Arpico Insurance increased the number of policies by 53 percent in comparison to the previous year. The Company succeeded in maintaining a growth rate well above that of the industry both in terms of number of policies sold and growth premiums.

OUR STAKEHOLDERS

Our primary focus centers on creating value for all stakeholders in seeking sustainable business success. We continue to investigate stakeholder expectations and respond accordingly through a number of strategies and business tools at our disposal. We are committed to remaining mindful of strengthening ties with stakeholders and continuing to engage their input in our strategic drive.

OPERATING ENVIRONMENT Contd.

STAKEHOLDER ENGAGEMENT

Stakeholders	Modes of Engagement	Key Topics of Discussion	Meeting Expectations
Customers	Market research/Interactions with sales managers and field staff/ Corporate website/ Social media/Complaints management/Media releases	- Prompt response and the quality of the service. - Fulfilling the Company's promise of long-term protection	- Expanding reach and distribution points - Product pricing reviews - Expediting the claim settlement process - Strengthening the sales workforce and back office staff to enhance the quality of service
Shareholders	Annual Report/Interim financial reports/Annual General Meeting/Media Releases/Corporate website/ Direct discussions with Senior Management and the Board	- Financial performance and business expansion - Return on investments to shareholders	- Premium growth strategies - Maintaining sound corporate governance practices - Effective performance management
Employees	Corporate Communication tools such as emails, newsletters, intranet/ staff meetings/skip level interviews/Management meetings	- Remuneration increments - Opportunities for career progress - A conducive working environment - Work-life balance	- Timely salary increments and promotions based on merit - Ensuring a secure working environment - Creating opportunities for career growth - Increase efficiency and enhance technological systems to help create work-life balance
Suppliers and Business Partners	Meetings and visits/Formal interactions	- Forming long-term and mutually beneficial partnerships - Contractual performance	- Implementing risk management strategies - Strict pricing discipline - Building rapport and inducing long-term trust
Government Institutions and Regulators	- On-site surveillance - Filing returns - Directives and circulars	Regulatory changes	- Direct Communication with the Government and industry regulators - Compliance with regulatory requirements - Implementation of policies that affect the industry

Our efforts to create sustainable value for stakeholders are multi-pronged. We engage in diversifying geographical reach and distribution platforms to reach out to a larger pool of customers and utilize effective risk management strategies as well as sound corporate governance practices to pursue business success and increase volume. We continuously take measures to improve our technological capabilities and digital platforms to pave the way for future growth while concentrating on guiding our customer base towards a new era of transactions and communication. Throughout the year we focused on enhancing our human capital to achieve efficiency through talent development.

OUR REACH

During the year under review Arpico Insurance embarked on an aggressive expansion drive and increased our branch network to 40 branches across key geographical areas within Sri Lanka. This expansion drive coupled with our restructuring process unveiled new business opportunities and enables the Company to increase business reach. In the years to come we hope to build on this platform and reach out to an enhanced customers base through offering convenience and service excellence.

OUR PRODUCT MIX

Arpico Insurance product portfolio follows the core concept of 'Insurance for the Living' to offer insurance services that meet current market requirements. We offer variety of life insurance benefits that could be enjoyed during a person's life rather than at death. Where possible we have extended the benefits from our Life Insurance products to immediate family members of policyholders.

Arpico Endowment Plan

The Arpico Endowment Plan is a fund that is designed to fulfill a number of vital needs of the policyholder including education requirements, emergency capital requirements and retirement plans. The sum assured increases by 2.5 percent annually to accommodate inflation.

Benefits Offered

- Accidental Death Benefit
- Permanent & Total Disability Benefit Permanent Partial Disability Benefit
- Critical Illness Benefit
- Additional Term Protection Benefit
- Funeral Expenses Benefit

- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalization per Day Benefit
- Hospitalization Reimbursement Benefit

Arpico Term Insurance Plan

Arpico Term Insurance Plan provides insurance payments in case of unforeseen death during the term of policy with additional benefits that can be added depending on the policyholder's requirement.

Benefits Offered

- Accidental Death Benefit
- Permanent & Total Disability Benefit
- Permanent Partial Disability Benefit
- Critical Illness Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalization per Day Benefit
- Hospitalization Reimbursement Benefit

Education Plan – School Fees Plan

Arpico School Fees plan ensures lessening the burden on parents with regard to children's education in the event of an unforeseen circumstance. The monthly amount, which is to be paid to the policyholder's beneficiary, can be decided on at the time of obtaining the policy.

Arpico Hospitalization Plan

Arpico Hospitalization contains two unique benefit options. The Arpico Hospitalization per day plan pays an amount equal to the stated per day amount, multiplied by the number of completed hospitalized days, if hospitalized within Sri Lanka. If the policyholder has to undergo intensive care treatment the Company will pay double the benefit amount. The Arpico Reimbursement plan covers the policyholder and his/her family for surgical and hospitalization expenses up to Rs. 300,000 per annum.

Arpico Investment Plan

The Arpico Investment Plan enables policyholders to benefit from attractive returns as a Living Benefit. While the rate of return is calculated annually to accommodate economic conditions, policyholders can also profit from additional benefits offered.

Benefits Offered

- Accidental Death Benefit
- Permanent & Total Disability Benefit
- Permanent Partial Disability Benefit
- Critical Illness Benefit
- Additional Term Protection Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalization per Day Benefit

Arpico Group Assurance Plan

The Arpico Group Assurance Plan offers insurance benefits to a group of people with a common point of association such as employees of a single employer.

Benefits Offered

- Accidental Death Benefit
- Permanent & Total Disability Benefit
- Permanent Partial Disability Benefit
- Critical Illness Benefit
- Funeral Expenses Benefit

Arpico Loan Protection Plan

The Arpico Loan Protection Plan ensures loan balance payments to relevant financial institution in the event of the policyholder's untimely death. The policy ensures that the policyholder's assets such as house, building etc, are free from mortgage as a Living Benefit to his/her dependents.

Privilege Customer Insurance Scheme

The Privilege Customer Insurance Scheme offers hospitalization cover for the policyholder as well as benefits to the policyholder's dependent in the event of the policyholder's death.

OUR PEOPLE

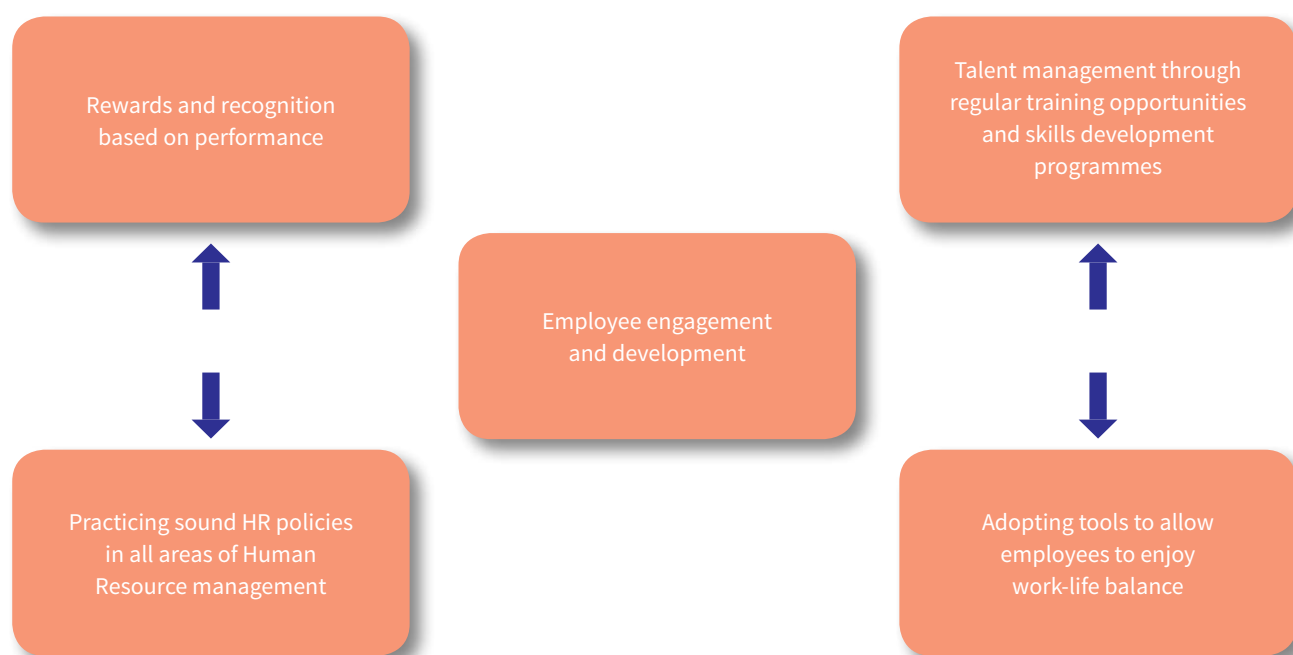
Arpico Insurance strives to foster a favourable work culture where employees can thrive and reach their full potential. We are mindful of the fact that a robust workforce will lead to continued business success and profitability. Employees reflect the Company's image in the eyes of customers and the community and we are mindful of this fact.

We have developed a robust recruitment and a people development mechanism designed to bring out the best in our people. Our tools of engagement in developing human capital consists of ethical hiring practices that implements diversity in the work place, regular training opportunities to all employees as well as timely rewards and recognition based on merit.

In terms of enhancing diversity, we have succeeded in ensuring gender balance within the workforce and maintaining a well-balanced mix of senior, experienced employees as well as a young, up and coming tier of employees being groomed for the future. During the year under review, there have been no reported incidents of discrimination in any form.

We promote a performance based culture where each employee receives opportunities for career advancement and remuneration increment based on performance excellence. Seeking to enhance the inherent talent of our employees throughout the year we invested heavily in training and development facilities.

The Company did not have any material issues in relation to employees and industrial relations during the year which need disclosures as per CSE listing rule 7.6.



OUR CUSTOMERS

During the year under review, we expanded our reach by increasing our branch network to 40 in order to enhance our service level to customers through allocating more resources to each geographical area. In striving to maintain the trust that our customers have placed in us, we consistently conduct market analysis to identify current customer needs. Moreover, our sales force and the field staff continue to build strong relationships with customers in order to respond well to their evolving needs.

While we take into account the changing economic factors in advancing our product mix, we remain mindful of the need to develop sustainable business practices to benefit our customers in the long term. The Company also adheres to all statutory and regulatory requirements as well as local and global standards to ensure business continuity and transparency. Going forward, we will continue to improve our technological capability to offer efficiency and convenience to customers.

FUTURE OUTLOOK

As we wrap up the year 2017 on a strong note, the future potential of the Company looks favourable in spite of various economic and regulatory challenges. The management and the Board have laid out a robust strategy to surpass the challenges that are likely to hinder progress. Our future strategies are well-protected through comprehensive risk management and corporate governance practices.

The current market realities call for all Life Insurance players to invest in digital platforms and incorporate modern technologies into the business mix. While low capita income and the high cost of living pose challenges, the country's growing upper middle class income status presents an opportunity that the Life Insurance industry can explore.

In the near future we will look to further expand our reach and benefit from the changing demographics of the country. We will expand our portfolio to cater to the new insurance demands such as retirement plans and increased demand for health insurance. Improving our digital tool kit and technological capability remains an important factor that we will continue to explore in the years to come. We will continue to build on the strong brand reputation that we enjoy as an effect of the parent company's reputation while strengthening our own brand presence.

FINANCIAL REVIEW

The year 2017 was one of consistent and commendable growth for Arpico Insurance in spite of various macro-economic challenges that prevailed in the country and threatened industry growth. The Company witnessed an increase in profitability and recorded a steady growth streak mainly driven by the strategic alignments that were put in place during the year. The Company's strategic alignment framework focused on expanding our reach across the island, exploring new geographical opportunities and streamlining the sales and marketing units to enhance profitability.

In addition, the Company increased our service excellence through infusing new blood into the talent pool. The Company continued our transition into the Risk Based Capital (RBC) and explored investment opportunities that are suited to contribute to creating long-term growth. Arpico Insurance succeeded in consistently improving our turnover, surpassing industry averages, while demonstrating a consistently remarkable performance.

In line with regulatory requirements, Arpico Insurance maintained a Capital Adequacy Ratio (CAR) of over 120 percent. As at 31st December 2017 the Company's CAR was at 397 percent.

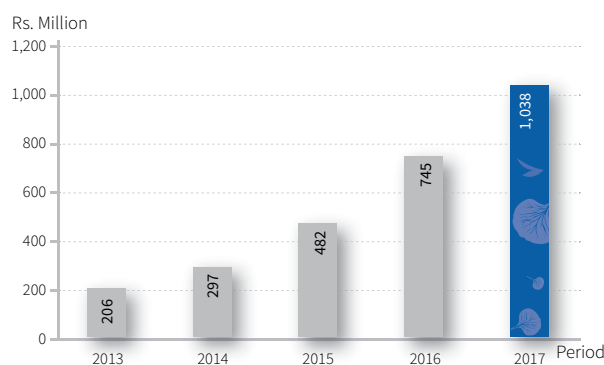
In December 2017, Arpico Insurance reached the milestone one Billion subscribers, becoming the first Life Insurance Company in Sri Lanka to achieve this particular milestone within a period of six years.

Working from a solid platform built on the three pillars of economic, social and environmental value creation, Arpico Insurance envisions increasing shareholder wealth whilst creating value for all other stakeholders Simultaneously.

GROSS WRITTEN PREMIUM

Performing well above the industry average, Arpico Insurance recorded an annual Gross Written Premium of Rs. 1,038 Million to record a growth of 39.2 percent in comparison to the previous financial year. The First Year Premium for 2017 was at Rs. 719 Million recording a growth of 40 percent while Renewal Premium reached Rs. 319 Million to post a growth rate of 39.2 percent when compared to the year 2016.

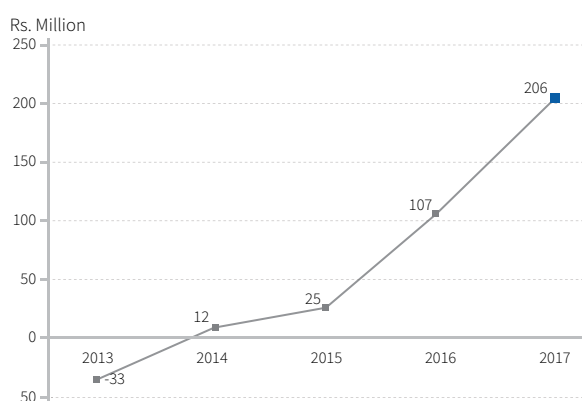
Gross Writern Premium



PROFITABILITY

Maintaining the momentum that the Company picked up in 2016, Arpico Insurance recorded a profit of Rs. 206 Million for the year 2017 posting a growth rate of 91 percent in comparison to the previous year.

Profitabilty

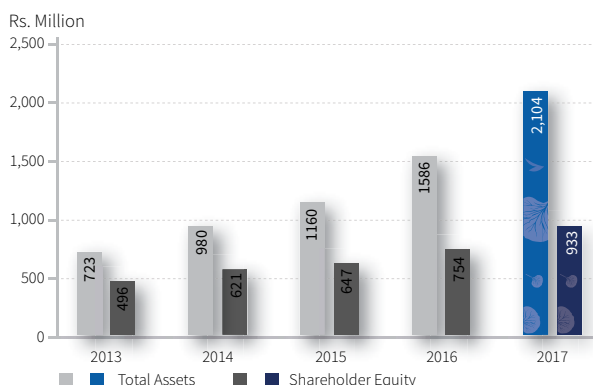


FINANCIAL REVIEW Contd.

ASSET BASE

Since 2012, Arpico Insurance has consistently seen an Asset Base growth, consequently posting a stable and a healthy net value. In 2017, the Company's Asset Base increased to Rs. 2,104 Million from Rs. 1,587 Million recorded during 2016. This resulted in a commendable growth rate of 33 percent.

Assets Base



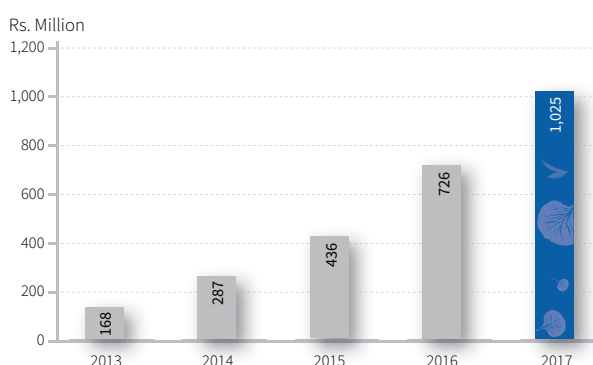
FUTURE OUTLOOK

Having achieved exceptional performance in a volatile economic environment, Arpico Insurance is well-geared to explore sustainable growth in the near future. The Company will continue to conduct timely market research to measure potential risks and opportunities and to adopt growth strategies accordingly. Whilst ongoing and expected changes in the regulatory changes as well as the uncertain macro-economic environment pose certain challenges to Company growth, the Board and Management of Arpico Insurance will continue to determine and implement coping mechanisms conducive to continued success.

LIFE FUND

Reinforcing the Company's ability and the well-established strength to fulfill obligations to policy holders, the Life Fund recorded a healthy growth of 41 percent reaching Rs. 1,025 Million during the year under review.

Life Fund



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GOVERNANCE

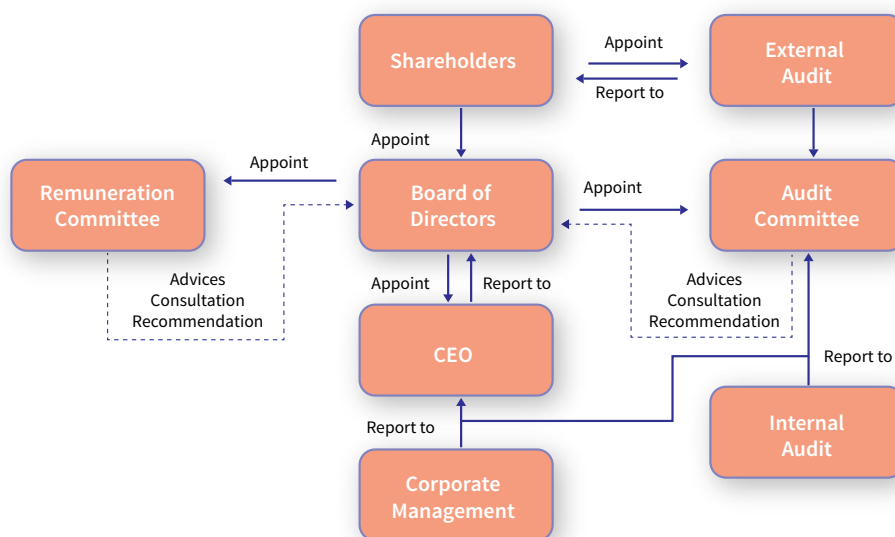
CORPORATE GOVERNANCE

Sound corporate governance practices allow Arpico Insurance to conduct our business process in a transparent and an ethical manner to create sustainable value for all stakeholders while pursuing business growth. Designed to enhance communication and nurture the dynamic relationship between shareholders, the Board of Directors and the Management, the Company's corporate governance model adopts practices and policies that foster long term business success and allows all stakeholders to benefit from the process and make informed decisions with regard to their future involvement with the Company. Our corporate governance framework relies on the pillars of accountability, participation and transparency which combine together to build and maintain a sustainable business model. The Company's corporate governance structure is designed to ensure beneficial distribution of responsibilities amongst responsible entities and enhance the smooth functioning of the governance framework in line with adopted policies.

RESPONSIBILITIES OF THE BOARD OF DIRECTORS

The key responsibility of the Board of Directors is to use their expertise and business judgment to steer the Company towards sustainable growth and success through implementation of sound strategies. Accordingly, the Board provides leadership and supervision in strategy formulation and implementation, performance review, internal controls, adherence to rules, regulations, policies and procedures while providing guidance to the senior management to execute each area of their responsibility in an ethical and a professional manner.

Corporate Governance Structure



As the Company continues to grow, we remain mindful of the fact that the corporate governance framework too must evolve in line. Accordingly, we review the corporate governance framework periodically to ensure adherence to best practices and to improve and adopt ethical principles and practices. The Company's corporate governance practices align and comply with the requirements stipulated in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by the Colombo Stock Exchange.

BOARD OF DIRECTORS

The Board of Directors of Arpico Insurance acts as a responsible body that guides the senior management and executive officers in managing the Company's business process and approves the Company strategy on behalf of shareholders. The Board is responsible for continuously reviewing policies and business strategies adopted by the Company. The ultimate objective of the Board incorporates Company growth and sustainability of business operations as a trusted insurer.

CORPORATE GOVERNANCE Contd.

The Board comprises of four Directors with two Directors being Non-Executive Directors and the other two acting as Independent Non-Executive Directors. As per the assessment conducted by the Board, the Independence of the two Non-Executive Directors has been verified and they have no direct or indirect material relationship with the Company and have duly submitted the annual declaration as per the Colombo Stock Exchange Listing Rules.

Profiles of each Director are presented on pages 12 to 13 in this Annual Report.

Name of the Director	Non-Executive Director	Independent Non-Executive Director
Mr. Viville Perera	√	
Mr. Shiron Gooneratne	√	
Mrs. Lasinee Serasinhe		√
Mr. S. Sirikananathan		√

INDEPENDENT DIRECTORS

Mr. S. Sirikananathan and Mrs. Lasinee Serasinhe operate as Independent Non-Executive Directors. Their diverse experience and expertise in commercial, corporate and regulatory activities provide an independent view and judgment to the Board.

APPOINTMENT OF DIRECTORS

Arpico Insurance adheres to the section 29 of the Articles of Association of the Company in appointing Directors to the Board. Accordingly, the Company passes an Ordinary Resolution for the authorization of the appointments. In line with the Regulation of Insurance Industry Act, the Company obtains prior approval from the Insurance Regulatory Commission of Sri Lanka to appoint Directors to the Board.

ROLE AND RESPONSIBILITIES OF THE BOARD

The role and specific responsibilities of the Board are as follows:

- To ensure highest level of compliance is adhered to in all operations of the business.
- To shareholders for the governance of the Company.
- To ensure that highest standards of disclosure is maintained resulting in transparency in all business activities and operations.
- To effectively and efficiently direct Company's resources to bring about the best desired results for its shareholders.

- To provide direction by approval of Company's medium and long term strategy, annual budgets and significant financial cum operational policies.

FUNCTIONS OF THE BOARD

- Direct the business and affairs of the Company.
- Formulate short and long-term strategies, as a basis for the operational plans of the Company and monitor implementation.
- Report on their stewardship to shareholders.
- Identify the principal risks of the business and ensure that adequate risk management systems are in place.
- Ensure internal controls are adequate and effective.
- Approve the annual capital and operating budgets and review performance against budgets.
- Approve the interim and annual financial statements of the company.
- Ensure compliance with laws and regulations.
- Sanction all material contracts, acquisitions or disposal of assets.

MEETINGS OF THE BOARD OF DIRECTORS

The Board meets frequently to review the ordinary business process of the Company and to assess the performance level of the Company in order to determine whether the adopted strategies are being followed in line with the overall goals set out for the period. In 2017, the Board of Directors held 05 meetings. In addition, Sub Committee meetings are held depending on the requirement. Prior to each meeting, the Directors receive board papers and required information to ensure constructive communication and issue identification which in turn results in robust decision making.

INTERNAL CONTROLS

The Board established an internal control system to ensure the protection and proper maintenance of the assets of the Company while upholding an effective and a precise record keeping mechanism to generate reliable information. The internal control system incorporate financial, operational and risk management controls.

The Internal Audit Division reporting to the Chairman of the Audit Committee regularly evaluates the internal control system across the organisation and its findings are reviewed first by the Audit Committee and significant issues are thereafter reported to the Board. The Board ensures the adequacy and effectiveness of the Company's internal control system.

CORPORATE GOVERNANCE Contd.

BOARD SUB COMMITTEES

While the Board bears the responsibility of ensuring proactive, efficient and effective Company performance, it manages to overlook a vast area of business dealings and regulatory compliance by delegating tasks and responsibilities to Sub Committees. Each Sub Committee operates within clearly defined terms of reference. The Board is responsible for establishment, functioning and appointment of members for the Sub Committees of the Board.

AUDIT COMMITTEE

The Audit Committee is responsible for adherence and application of accounting policies, the financial reporting process of the Company as well as the implementation of internal control principles of the Company. An Independent Non-Executive Director leads the Audit Committee which comprises Independent Non-Executive Directors with ample experience and expertise in finance and business operations. The Audit Committee Report presented on pages 31 to 32 details the functions carried out by the committee in 2017.

INVESTMENT COMMITTEE

Consisting of two Non-Executive Directors and an Independent Non-Executive Director, the Investment Committee is responsible for the smooth functioning of the investment activities of Arpico Insurance.

MEMBERS OF THE INVESTMENT COMMITTEE

Mr. Viville Perera	– Non-Executive Director
Mr. Shiron Gooneratne	– Non-Executive Director
Mrs. Lasinee Serasinhe	– Independent Non-Executive Director

REMUNERATION COMMITTEE

Arpico Insurance is one of the subsidiaries of Richard Pieris and Company PLC. As such, the Remuneration Committee of Richard Pieris and Company PLC acts as the Remuneration Committee for Arpico Insurance. The report of the Remuneration Committee is presented on page 33 of this report.

RELATED PARTY TRANSACTION REVIEW COMMITTEE

Related Party Transaction Review Committee of Richard Pieris and Company PLC acts as the Related Party Transaction Review Committee for Arpico Insurance.

The report of the Related Party Transaction Review Committee is presented on page 34 of this report.

Shareholder	%
Kegalle Plantation PLC	40.29
Richard Pieris Distributors Limited	26.86
Richard Pieris and Company PLC	22.84
Public	10.01

COMPLIANCE

Arpico Insurance is governed by mandatory rules and regulations which are established by Companies Act No. 07 of 2007, Listing Rules of the CSE and the regulation of Insurance Industry (RII) Act No. 43 of 2000 and subsequent amendments and rules, regulations, directives and circulars issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL). The Company adheres to the guidelines issued by the Sri Lanka Accounting Standards (LKAS and SLFRS) and other statutory regulations in preparation of the Financial Statements of the Company. In line with the Listing Rules of the Colombo Stock Exchange, the Company publishes quarterly Financial Statements to give shareholders access to significant developments that took place during the reported period. Moreover, following IRCSL guidelines, the Company prepares and submits monthly and quarterly returns. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

GOING CONCERN

Following in depth review of the Financial Position and cash flow status of Arpico Insurance, the Directors have continued to use the 'Going Concern' basis in the preparation of the Financial Statements.

Corporate Governance plays a vital role in determining the Company's principal activities and enforces accountability and ethical conduct of business dealings in order to create sustainable value for shareholders. In view of this, Arpico Insurance is committed to consistent and effective execution and timely enhancement of the corporate governance framework. Based on the strongly-supported belief that a robust governance structure paves the way forward to business success and the success of all stakeholders of the Company, we will continue to adopt industry standards and go beyond those to implement our own standards for the betterment of future performance of the Company.

AUDIT COMMITTEE REPORT

The Audit Committee Charter, approved by the Board of Directors defines the purpose, authority, composition, meetings and responsibilities of the Committee.

PURPOSE

The purpose of the Audit Committee is to:

- Assist the Board of Directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the Company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the Company's external auditors.
- Make recommendations to the Board on the appointment of external auditors, their remuneration and their terms of appointment.

COMPOSITION

The Audit Committee consisted of two Independent Non-Executive Directors namely, Mr. S Sirikananathan – Chairman and Mrs. L Serasinhe. Their brief profiles are given on pages 12 to 13 of the Annual Report.

The Company Secretary functioned as secretary to the Audit Committee.

MEETINGS

The Committee held 05 meetings during the year under review. The Company Audit Committee Chairman, the Financial Controller and the Company Internal Auditors were generally invited to attend Audit Committee meetings. The key management personnel and the external auditors were invited to attend the audit committee meetings when their presence was considered necessary. Minutes of the meetings were tabled at meetings of the Board to ensure that all Directors were kept informed of the activities.

INTERNAL AUDIT AND RISK MANAGEMENT

The Audit Committee has reviewed and approved the internal audit programme, ensured it covered major operational aspects and monitored the effectiveness of the internal audit. In this regard, the committee reviewed the internal audit findings and management responses thereto and where necessary, recommended corrective actions and monitored implementation.

INTERNAL CONTROLS

During its meetings the Audit Committee reviewed the adequacy and effectiveness of the internal control systems and the Company's approach to its exposure to the business and financial risks. The review also ensured that processes are in place to safeguard the assets of the organization and that the financial reporting system contemplated was in operation and could be relied upon in the preparation and presentation of Financial Statements. The Committee also noted that monthly comprehensive Financial Review Reports highlighting all key performance criteria were prepared and reviewed by the Management.

FINANCIAL STATEMENTS AND RELATED DISCLOSURES

The Committee, in line with its responsibility to oversee the Company's process of financial reporting, reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the management:

- i. Significant financial issues and judgements made in connection with the preparation of the Company's Financial Statements.
- ii. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- iii. Requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

The Audit Committee has reviewed all Interim Financial Statements and the Annual Financial Statements for the year ended 31st December 2017 before their issuance.

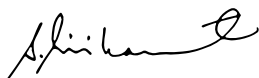
AUDIT COMMITTEE REPORT Contd.

EXTERNAL AUDITORS

The Audit Committee met with the External Auditors, reviewed the Audited Financial Statements and discussed all matters of relevance and significance. The Committee ensured that the non-audit services provided by the External Auditors did not impair their independence and objectivity and such services were assigned in a manner to prevent any conflict of interest. The Audit Committee has recommended to the Board of Directors that Messrs. Ernst and Young be reappointed as Auditors for the financial year ending 31st December 2018 subject to approval of shareholders at the next Annual General Meeting.

CONCLUSION

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the company, that the assets are safeguarded and that all relevant laws, rules, regulations, code of ethics and standards of conduct have been followed.



Mr. S Sirikananathan
Chairman – Audit Committee
Colombo, Sri Lanka.

20th March 2018

REMUNERATION COMMITTEE REPORT

The Remuneration Committee of the Parent Company acted as the Remuneration Committee of Arpico Insurance PLC.

This Remuneration Committee appointed by and responsible to the Board of Directors consist of three Independent Non-Executive Directors, Dr. Jayatissa De Costa P.C, Mr. Jagath C Korale, and Mr. Prasanna Fernando. The Committee is chaired by Dr. Jayatissa De Costa P.C. The Committee met on several occasions during the financial year.

1. Policy of remuneration of Executive Staff

The committee has taken into account the high competition, market information and business performance of the Insurance Industry in determining the remuneration policy.



Dr. Jayatissa De Costa P.C
Chairman

20th March 2018

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The Related Party Transactions Review Committee of the Richard Peiris and Company PLC acts as the Related Party Transactions Review Committee of Arpico Insurance PLC.

The Related Party Transaction Review Committee, appointed by and responsible to the Board of Directors, consist of three Independent Non-Executive Directors, which includes its chairman Dr. Jayatissa De Costa P.C, Mr. Jagath C Korale and Mr. Prasanna Fernando.

THE OBJECTIVES OF THE COMMITTEE

- To exercise oversight on behalf of the Board, that all Related Party Transactions ("RPTs", other than those exempted by the CSE listing rules on the Related Party Transactions) of Arpico Insurance PLC are carried out and disclosed in a manner consistent with the CSE listing rules.
- To advise and update the Board of Directors on the related party transactions of Arpico Insurance PLC on a quarterly basis.
- To ensure compliance with the CSE listing rules on the Related Party Transactions.
- To review policies and procedures of Related Party Transactions of Arpico Insurance PLC
- To ensure shareholder interests are protected and that fairness and transparency are maintained.

All related party transactions entered into during the year were of a recurrent, trading nature and were necessary for day to day operations of the Company. In the opinion of the Committee, the terms of these transactions were not more favourable to the related parties than those generally available to the public.

The Committee held 04 meetings during the period under review. The activities and views of the Committee have been communicated to the Board of Directors where appropriate.

No related party transaction exceeded the limits of 10 percent of equity or 5 percent of total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the Annual Report as required by Section 9.3.2 (b) of listing rules, and confirms that the Company has complied with all requirements as per Section 9 of the Listing Rules.

All details of such related party transactions entered in to during the year are given in Note 31 to the Financial Statements on pages 83 to 84 of this Annual Report.



Dr. Jayatissa De Costa P.C
Chairman

20th March 2018

RISK MANAGEMENT

RISK MANAGEMENT

Risk acceptance is part and parcel of the insurance industry and risk management therefore becomes an essential ingredient for an insurer to pursue sustainable business growth. In the current macro-economic environment, the insurance industry faces a number of industry specific challenges. Mindful of this fact, the Board and Management of the Company adopt and implement a number of risk management strategies to identify risks and take appropriate measures to mitigate those. Our risk management strategies allow the Company to navigate uncertain conditions and create opportunities for value creation. The Company's risk management process uses a cyclic tool to identify, measure, control and monitor risk.

THE RISK MANAGEMENT PROCESS



RISK MANAGEMENT OBJECTIVES

A well-defined set of risk management objectives enables Arpico Insurance to approach the risk management process with a solid foundation to implement risk strategies.

- To eliminate or reduce losses greater than expected
- To provide a framework to foster a consistent approach to risk management
- To empower managers to foresee, evaluate, and measure risks in a manner which facilitates improved decision making
- To increase returns, sustainable earnings, growth and shareholder value through the elimination of risks
- To increase the Company's reputation in connection with good risk management policies

RISKS AND CHALLENGES

The current macro-economic environment gives rise to a number of risks that are insurance industry specific and otherwise. Our risk management process continuously analyses the conditions to identify these challenges and prioritize the Company's risk management strategies to foster business growth and eliminate unwelcome interruptions to the value creation process. The Company classifies risks into a broad spectrum of categories as follows:

- Life Insurance Risk
- Re-Insurance Risk
- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk
- Compliance Risk

Nevertheless, the specific risks can be identified through economic, social and technological viewpoints.

Economic

- Intense price competition in a saturated market
- Rising cost of living that affects the disposable income of customers and potential customers which in turn decrease the interest in Life Insurance policies
- Highly volatile insurance rates. (A decrease in interest rates can have a negative impact on the Life Insurance business due to the increase in the liability of insurance fund)

Social

- High staff turnover
- Brain drain that affects the labour market

Technological

- Cyber security threats that can affect the Company's information base

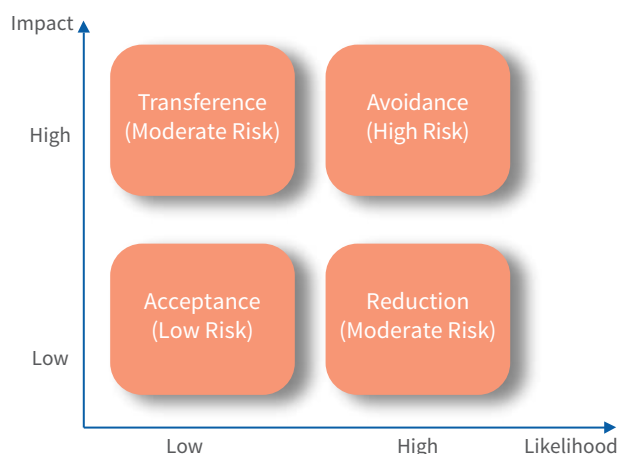
RISK MANAGEMENT Contd.

In addition to these, increasing regulatory requirements too pose a challenge that the Company has to manage in order to operate as a successful player in the industry.

Our risk management framework employs a strict risk management policy to avoid unexpected errors in adhering to the guidelines pertaining to Risk Based Capital (RBC), Anti-Money Laundering requirements, changes in Accounting Standards, foreign regulatory requirements including FATCA. Accordingly, as part of the overall Corporate Governance framework and to ensure an effective and efficient operation, the Board is responsible for overseeing that the Company has in place an effective systems that functions to address the key risks it faces.

Moreover, we employ a risk rating system to prioritize risks and implement solutions.

Risk Prioritization and Mitigation



Risk Category	Risk Description	Risk Rating	Risk Mitigation
Underwriting Risk	This refers to the risk of accepting insurance business that carries an unacceptably high exposure to the risk of claims and accepting risks at rates that do not contain an adequate risk premium. Underwriting risk could also arise due to a lack of understanding regarding changes in the environment such as the effect of climate change.	High	- An adequate level of segregation of duties is ensured between underwriting and sales. The underwriting function is centralised and operates from the Head Office. - Manual of Financial Authority is available to give guidance on underwriting limits. - Frequent audits and verifications. - Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced. - Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service. - Carrying out underwriting as per the guidelines set by the reinsurers.
Reinsurance Risk	Retaining risks beyond the Company's net retention capacity without having adequate reinsurance; or the inability of reinsurers to meet their commitments due to insufficient financial strength.	Moderate	- The Company works with Munich Re which is the No. 01 reinsurer in the world. - Frequent review of the outstanding reinsurance receivables. - A very close and professional relationship is maintained with all reinsurers and reinsurance brokers. - Only reinsurers with 'A' or above ratings are used as reinsurers. - Changes to the ratings of reinsurance companies are continuously monitored.

RISK MANAGEMENT Contd.

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Credit Risk	Credit Risk is the risk of financial losses if the counter party fails to honor the payment obligation under a contract.	Moderate	- Continuously monitor the credit worthiness and financial stability of all institutions and individuals. - Placement of corporate debt investment exposures with counter parties whose credit rating is “BBB+” (lka) or above as rated by acceptable rating agencies. - Strict credit limits imposed on all such parties, following a strict evaluation of their stability and business activities. - Structured and standardized credit approval process depending on the size, nature of business, and credit. - Approval carried out by senior, competent staff.
Liquidity Risk	Inability to meet contractual obligations. Eg: claim payment.	Low	- Conducting and reviewing of maturity analysis of securities to avoid a maturity mismatch between assets and liabilities that would cause liquidity issues. - Set up contingency funding plans specifying minimum proportion of funds to meet emergency calls and events that would trigger such plans. - Investment committee continuously monitors the asset liability management aspect of the Company.
Market Risk	Impact on the investment portfolio due to changes in the interest rate.	High	- Arpico Insurance has diversified its investment risk by investing in various financial instruments. A large portion of the Company's investments are held in Government Securities, thus minimizing credit default risk on investments. - The Company has laid down clear Investment Policy which have been approved by the Board of Directors.
Operational Risk	Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.	Moderate	- Development of strategic plan. - Take responsibility for all levels has been delegated effectively with clear definition. - Make sure ICT structure is on par in order to maintain proper monitoring procedures.
Compliance Risk	Compliance risk is the risk of noncompliance with the laws and regulations. Also this addresses the risk that arises from any changes in laws and regulatory frameworks.	Moderate	- Constantly review and update key regulatory developments to anticipate changes and their potential impact on performance. - Respond both unilaterally and through effective participation in industry forums, i.e. Insurance Association of Sri Lanka. - Company complies with all rules, regulations and laws. - Periodically review and update established set of policies and procedures which are embedded in all business processes.



FINANCIAL INFORMATION

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

GENERAL

It is with pleasure that the Board of Directors of Arpico Insurance PLC present their Annual Report on the Affairs of the Company, Audited Financial Statements and the Auditor's Report for the year ended 31st December 2017. This report was approved by the Board of Directors on 20th March 2018.

The ordinary shares of the Company are listed on the *Diri Savi* Board of Colombo Stock Exchange.

PRINCIPAL ACTIVITIES

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

VISION, MISSION AND CORPORATE VALUES

Company's Vision and Mission are provided on page 3 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the Vision and Mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

REVIEW OF COMPANY PERFORMANCE

Complying with the requirements of the Companies Act, the Chairman's Review, Review of Operations, Financial Review and Other statements in this Annual Report briefly describe the performance of the Company during the current financial year. These reports form an integral part of the Annual Report of the Board of Directors.

FUTURE DEVELOPMENT

The Chairman's Message on page 8 offers an overview of the Company's future developments.

FINANCIAL STATEMENTS

The Audited Financial Statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements of the Company for the financial year ended 31st December 2017 on pages 46 to 84 form an integral part of the Annual Report of the Directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS/LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No. 07 of 2007, Regulations of the Insurance Industry Act No. 43 of 2000 and other rules and regulations of Insurance Regulatory Commission of Sri Lanka and listing rules of Colombo Stock Exchange.

AUDITORS' REPORT

The Auditors' Report can be found on page 45 of this Annual Report.

AUDITORS

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in Note 11 to the Financial Statements. As far as the Directors are aware, the auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of the Financial Statements are given on pages 51 to 61. There are no significant changes to the accounting policies of the Company during the year.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY *Contd.*

GROSS WRITTEN PREMIUM

The table below gives growth in Gross Written Premium for the year 2017. Further details on financial performance are given on pages 46 to 47.

	2017 Rs. '000s	2016 Rs. '000s	Growth
FYP	719,190	515,545	40%
Renewal	318,895	229,841	39%
Total	1,038,085	745,386	39%

RESULTS

The Company recorded a profit of Rs. 206 Million for the year. A synopsis of the financial performance is presented below.

	2017 Rs. '000	2016 Rs. '000
Profit Before Tax	206,013	107,889
Income Tax Expense	-	-
Profit After Tax	206,013	107,889

TAXATION

The Company does not have income tax liability for the year. Details are disclosed in Note 12 to the Financial Statements.

PROPERTY, PLANT & EQUIPMENT

The book value of Property, Plant & Equipment of the Company stood at Rs. 57.5 Million as at the Balance Sheet date. Details are given in Note 14 to the Financial Statements.

INVESTMENTS

Investments of the Company amounted to Rs. 1,347 Million. Details are given in Note 15 to the Financial Statements.

STATED CAPITAL AND RESERVES

Stated Capital and Total Equity of the Company as at 31st December 2017 stood at Rs. 675 Million and Rs. 933 Million respectively. Details for Statement of Changes in Equity are given on page 50.

HUMAN RESOURCES

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

BOARD OF DIRECTORS

The Board of Directors of the Company consists of four (04) Directors with wide financial knowledge and experience. The Names of the Directors who held office are given below and their brief profiles appear on pages 12 to 13.

Name of the Director	Status
Mr. Viville Perera	Non-Executive Director
Mr. S Gooneratne	Non-Executive Director
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinhe	Independent Non-Executive Director

DIRECTORS INTEREST IN CONTRACTS WITH THE COMPANY

Directors' and other Key Management Personnel's interest in transactions of the Company are disclosed in Note 31 to the Financial Statements.

The Company maintains an Interest Register in conforming to the provisions of the Companies Act No. 07 of 2007.

DIRECTORS' SHAREHOLDINGS

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2017 No. of Shares	2016 No. of Shares
Mr. Viville Perera	Nil	Nil
Mr. S Gooneratne	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil

The Statement of Directors' Responsibility is given on page 43.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY *Contd.*

BOARD SUB COMMITTEES

The Board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the Company. The sub committees consist of the Board Audit Committee, Risk and Compliance Committee and an Investment Committee.

CORPORATE GOVERNANCE

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 28 to 30.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

COMPLIANCE WITH LAWS AND REGULATIONS

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board Meetings.

EVENTS AFTER THE BALANCE SHEET DATE

Details of events after the balance sheet date are provided in Note 33 (page 84) to the Financial Statements.

GOING CONCERN

The Directors have adopted the Going Concern basis in preparing the Financial Statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

ANNUAL GENERAL MEETING

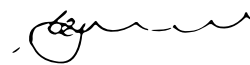
The Annual General Meeting will be held at the registered office of the company, No. 310, Highlevel Road, Nawinna, Maharagama on 27th April 2018. The notice of the Annual General Meeting is on page 91 of this publication.

For and on behalf of the Board,

20th March 2018



Director
Mr. Viville Perera



Director
Mr. Shiron Gooneratne



Company Secretary
Mrs. J Siriweera

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Companies Act No. 07 of 2007 places responsibility on the Directors to prepare and present financial statements for each year comprising a balance sheet as at year end date and the statements of income, cash flows and changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- (a) Sri Lanka Accounting Standards, as applicable, have been followed,
- (b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- (c) Reasonable and prudent judgments and estimates have been made,
- (d) The Companies Act No. 07 of 2007, Regulation of Insurance Industry Act No. 43 of 2000 and the Listing Rules of Colombo Stock Exchange have been complied with

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the Company with reasonable accuracy; they are mindful of their responsibility to ensure that the Company maintains adequate accounting records for the purpose.

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The Directors are responsible for the proper management of the resources of the Company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the Company is protected from undue risks, frauds and other irregularities.

The Directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

By Order of the Board,



Company Secretary
Mrs. J Siriweera
Colombo, Sri Lanka
20th March 2018

ACTUARY'S REPORT



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
603 2161 0433 Fax 603 2161 3595

20 March 2018

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2017

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2017. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2017, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2017, the Company maintained a Capital Adequacy Ratio of 397% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2017 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in blue ink, appearing to read "H. Scott Odierno".

Hassan Scott Odierno
Actuary

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Arpico Insurance PLC, ("the Company"), which comprise the statement of financial position as at 31 December 2017, and the income statement, statement of comprehensive income, statement of changes in equity and, statement of cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information.

BOARD'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by Section 163(2) of the Companies Act No. 7 of 2007, we state the following:

- a) The basis of opinion, Scope and Limitations of the audit are as stated above.
- b) In our opinion :
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company, comply with the requirements of Section 151 of the Companies Act.

As required by Section 47 (2) of the regulation of Insurance Industry Act, No. 43 of 2000, we state that, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

20th March 2018
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

INCOME STATEMENT

Year ended 31st December	Note	2017 Rs.	2016 Rs.
Gross written premium	4 (a)	1,038,085,079	745,386,354
Premium ceded to reinsurers	4 (b)	(28,370,148)	(24,436,905)
Net written premium		1,009,714,931	720,949,449
Other revenue			
Fees and commission income	5	8,064,174	6,269,983
Investment income	6	163,757,872	114,148,063
Net realised gains/(losses)	7	85,349	(1,089,247)
Other operating revenue	8	5,872,807	4,773,224
Total other revenue		177,780,202	124,102,023
Net income		1,187,495,133	845,051,472
Net insurance benefits and claims paid	9 (a)	(117,741,823)	(78,125,724)
Net change in insurance claims outstanding	9 (b)	(2,015,224)	(872,422)
Underwriting and net acquisition costs	10	(352,294,910)	(214,224,769)
Change in contract liabilities – life fund	24	(280,513,648)	(290,207,532)
Other operating and administrative expenses	11	(228,916,314)	(153,731,854)
Total benefits, claims and other expenses		(981,481,919)	(737,162,301)
Profit before tax		206,013,214	107,889,171
Income tax expense	12 (a)	-	-
Profit for the year		206,013,214	107,889,171
Earnings per share – Basic	13	3.11	1.63

The accounting policies and notes as set out in pages 51 to 84 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

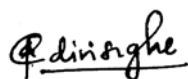
Year ended 31st December	Note	2017 Rs.	2016 Rs.
Profit for the year		206,013,214	107,889,171
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	24	18,895,495	(337,292)
Fair value movement of AFS reserve transferred to life fund	24	(18,895,495)	337,292
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Remeasurement gain/(loss) on defined benefit plan		(1,033,916)	(431,856)
Other comprehensive income for the year, net of tax		(1,033,916)	(431,856)
Total comprehensive income for the year, net of tax		204,979,298	107,457,315

The accounting policies and notes as set out in pages 51 to 84 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31st December	Note	2017 Rs.	2016 Rs.
Assets			
Property, plant and equipment	14	57,597,796	21,850,521
Financial assets	15	1,346,980,154	1,245,402,750
Loans to life policyholders	16	157,711,170	111,675,715
Reinsurance receivable	17	20,702,073	7,706,821
Amounts due from related party	18	181,589	-
Premium receivable	19	105,775,413	39,491,469
Other assets	20	94,318,212	54,329,540
Cash in hand and at bank	21	320,778,531	106,504,318
Total assets		2,104,044,938	1,586,961,134
Equity and liabilities			
Shareholders' equity			
Stated capital	23	675,564,870	675,564,870
Retained earnings		257,632,154	79,145,018
Other component of equity		-	-
Total ordinary shareholders' equity		933,197,024	754,709,888
Liabilities			
Insurance contract liabilities	24	1,025,457,000	726,047,856
Employee benefit obligation	25	6,568,317	4,608,990
Reinsurance creditors	26	30,859,018	22,729,392
Amounts due to related party	27	9,694,866	6,676,507
Other financial liabilities	28	72,456,338	54,461,564
Other liabilities	29	25,812,375	17,726,937
Total liabilities		1,170,847,914	832,251,246
Total equity and liabilities		2,104,044,938	1,586,961,134

These financial statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



Ms. Iroshini Edirisinghe
Manager Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Mr. Viville Perera
Director
20th March 2018
Colombo



Mr. Shiron Gooneratne
Director

The accounting policies and notes as set out in pages 51 to 84 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

Year ended 31st December	Note	2017 Rs.	2016 Rs.
Cash flows from operating activities			
Premium received from customers		971,801,135	763,781,070
Reinsurance premium paid		(29,745,905)	(12,731,472)
Claims paid		(101,926,995)	(86,730,412)
Reinsurance receipts in respect of claims		1,568,695	7,293,406
Other operating cash payments		(441,325,774)	(314,383,704)
Cash generated from operating activities	Note A	400,371,156	357,228,888
Tax paid		(10,180,171)	(8,673,410)
Net cash generated from operating activities		390,190,985	348,555,478
Cash flows from investing activities			
Net acquisition of investments		(101,577,404)	(258,587,621)
Purchase of property, plant & equipment	14	(47,847,206)	(12,101,696)
Net cash flows used in investing activities		(149,424,610)	(270,689,317)
Cash flows from financing activities			
Issue of share capital		-	-
Dividend payment		(26,492,162)	-
Share issue expenses		-	-
Net cash used in financing activities		(26,492,162)	-
Net increase in cash and cash equivalents	Note B	214,274,213	77,866,161
A. Reconciliation of operating profit with cash flows from operating activities			
Profit/(Loss) before tax		206,013,214	107,889,171
Depreciation charge		12,099,932	6,817,379
(Increase)/Decrease in reinsurance receivable		(12,995,252)	(1,959,498)
(Increase)/Decrease in premium receivable		(66,283,944)	18,394,716
(Increase)/Decrease in policyholders loans		(46,035,455)	(86,637,118)
(Increase)/Decrease in other assets		(29,990,090)	(1,241,888)
Increase/(Decrease) in life fund		299,409,144	289,870,240
Increase/(Decrease) in creditors		37,228,196	22,567,129
Increase in retirement benefits		925,411	1,528,757
Cash flows from operating activities		400,371,156	357,228,888
B. Increase in cash and cash equivalents			
Net cash and cash equivalents for the current year		320,778,531	106,504,318
Net cash and cash equivalents at the beginning of the year	21	106,504,318	28,638,157
Net increase in cash and cash equivalents		214,274,213	77,866,161

The accounting policies and notes as set out in pages 51 to 84 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31st December	Stated Capital Rs.	Revenue Reserve Rs.	AFS Reserve Rs.	Total Equity Rs.
As at 1st January 2016	675,564,870	(28,312,297)	-	647,252,573
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Profit for the year	-	107,889,171	-	107,889,171
Other comprehensive income	-	(431,856)	-	(431,856)
Total comprehensive income	-	107,457,315	-	107,457,315
As at 31st December 2016	675,564,870	79,145,018	-	754,709,888
Profit for the year	-	206,013,214	-	206,013,214
Other comprehensive income	-	(1,033,916)	-	(1,033,916)
Dividend declared	-	(26,492,162)	-	(26,492,162)
Total comprehensive income	-	178,487,136	-	178,487,136
As at 31st December 2017	675,564,870	257,632,154	-	933,197,024

The accounting policies and notes as set out in pages 51 to 84 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting Entity

Arpico Insurance PLC (formerly known as Arpico Insurance Limited) ("Company") is a limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at No. 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal Activities and Nature of Operations

Company is primarily engaged in carrying out Life Insurance business. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent Enterprise

The Company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of Authorization for Issue

The financial statements of Arpico Insurance PLC for the period ended 31st December 2017 were authorized for issue by the board of directors on 20th March 2018.

2. BASIS OF PREPARATION

2.1.1 Statement of Compliance

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

2.1.2 Changes in Accounting Policies

The accounting policies adapted by the Company is consistent with those used in the previous year. The company financial statements include the following components:

- The Statement of Financial Position providing information on the financial position of the Company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the Company for the year under review;
- The Statement of Changes in Equity depicting all changes in shareholders';
- The Statement of Cash Flows providing information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Basis of Measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and Basis of Measurement	Note
Available-for-sale financial assets are measured at fair value	15

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.3 Going Concern

When preparing the Financial Statements the Directors have assessed the ability of the company to continue as a going concern. The Directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

2.4 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

2.5 Use of Estimates and Judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

(a) Insurance Contract Liabilities

The liability for Life Insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in Note 24. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made as to future investment income arising from the assets backing Life Insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the Company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the Company's own risk exposure.

(b) Valuation of Employee Benefit Obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 25.

(c) Provisions for Liabilities and Contingencies

The Company receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due process in respective legal jurisdictions.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Insurance Contracts

Product Classification

Insurance contracts are those contracts when the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the Company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial Valuation of Life Insurance Fund

The Directors agree to the long term insurance provision for the Company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the Life Insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

3.2 Property, Plant & Equipment

3.2.1 Basis of Recognition

Property, Plant & Equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

3.2.2 Measurement

An item of Property, Plant & Equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

3.2.3 Subsequent Costs

The cost of replacing a part of an item of Plant and Equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day to day servicing of Property, Plant and Equipment is charged to the Statement of Income.

3.2.4 Repairs and Maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years
Motor vehicle	5 years

3.2.6 Derecognition

The carrying amount of an item of Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of Property, Plant and Equipment is included in the Statement of Income when the item is derecognised.

3.3 Impairment of Non-Financial Asset

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

3.4 Financial Assets

3.4.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The Company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. intention) and based on the Company's ability.

The Company's existing types of financial assets and their classifications are shown in the table below:

Financial Asset	Category
Treasury Bonds	Available-for-sale
Treasury Bills	Available-for-sale
Repos	Loans and receivables
Corporate Bonds	Loans and receivables
Fixed deposits	Loans and receivables
Policy loans	Loans and receivables

3.4.2 Subsequent Measurement

(a) Loans and Receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company also decided to classify unquoted Corporate Debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

(b) Available-for-Sale Financial Assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the income statement in the Other Revenue and removed from the available-for-sale reserve.

The Company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the Company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the Company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of

loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired then the amount recorded in equity is reclassified to the income statement.

3.4.3 Derecognition

The company derecognises a financial asset when

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and;
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the recognised amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.4.5 Fair Value Measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

3.4.6 Impairment of Financial Asset

The Company assesses at each reporting date whether a financial asset or group of financial assets is impaired.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

(a) Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available for Sale Financial Asset

For available-for-sale financial investments, the Company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

3.5 Deferred Tax

Tax losses incurred are utilized to recognize a deferred tax asset up to the extent of the deferred tax liability arising from taxable temporary differences. Thus no deferred tax asset is recognized in the financial statements as it is not probable that the future taxable profits would be adequate to utilize the available tax losses fully in the foreseeable future.

3.6 Reinsurance Contracts

The Company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

3.7 Premium Receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at

amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life Insurance premiums (only the premiums due in the 30 day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the Company policy.

3.8 Cash and Cash Equivalents

Cash and Cash Equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

3.9 Insurance Contract Liabilities

3.9.1 Life Insurance Contract Liabilities

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation method as specified by the Insurance Regulatory Commission of Sri Lanka (IRCSL) based on the recommendation of the Independent Consultant Actuary. The liability is determined as the sum of the discounted value of the expected future benefits, less the discounted value of the expected future premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is computed based on IRCSL specified guidelines and current assumptions which vary based on the contract type.

Furthermore, adjustments are performed to capture the likely liabilities that may arise due to currently lapsed contracts reviving in the future.

3.9.2 Liability Adequacy Test

As required by the SLFRS 4 – Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses,

policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

3.10 Financial Liabilities

3.10.1 Initial Recognition and Measurement

Financial Liabilities within the scope of LKAS 39 are classified as Financial Liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

3.10.2 Subsequent Measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial Liabilities at Fair Value through Profit or Loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognised in the Statement of Income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

(b) Other Financial Liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

3.10.3 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

3.11 Employee Benefits

(a) Defined Benefit Plan – Gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the payment of gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits.

The initial cost, the gratuity charge for the period and the gain/loss on change in assumptions after the initial adoption, if any, is recognised in the Statment of Other Comprehensive Income. Gratuity liability was not previously recognized in the financial statements as the company was incorporated in June 2011. The gratuity liability is not externally funded.

(b) Defined Contribution Plans – Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund Contribution and Employees’ Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes a defined percentage of gross emoluments of employees to an approved Provident Fund and to the Employees’ Trust Fund respectively.

3.12 Insurance Payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

3.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.14 Equity Movements

3.14.1 Stated Capital

The Company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

3.14.2 Dividends on Ordinary Share Capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company’s shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

3.15 Revenue Recognition

(a) Gross Premium

Gross recurring premiums on life are recognised as revenue when payable by the policyholder. For single premium business revenue is recognised on the date on which the policy is effective.

(b) Reinsurance Premium

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and Commission Income

Insurance contract policyholders are charged for policy administration services and other contract fees. These fees are recognised as revenue upon receipt or becoming due.

(d) Investment Income

Interest incomes for all interest-bearing financial are recognised within 'investment income' in the Income Statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other Income

Other income is recognised on an accrual basis.

3.16 Benefits, Claims and Expenses Recognition

(a) Gross Benefits and Claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are disclosed in the statement.

(b) Reinsurance Claim Recoveries

Reinsurance claims are recognised when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses Recognition

Expenses are recognised in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement of income.

3.17 Cash Flow Statement

The Cash Flow Statement has been prepared using the Indirect Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

3.18 Standards Issued but not yet Effective

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2017 reporting periods. None of these have been early adopted by the Company.

Sri Lanka Accounting Standard (SLFRS 9) – Financial Instruments:

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

As the Company's activities are predominantly connected with insurance, the Company will be eligible for the temporary exemption from applying SLFRS 9.

Sri Lanka Accounting Standard (SLFRS 15) – Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting beginning on or after 1st January 2018, with early adoption permitted.

There will not be any significant impact to insurance transactions from this standard since SLFRS 4 Insurance Contracts is scope out from this.

Sri Lanka Accounting Standard (SLFRS 16) – Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short-term and low-value leases. Lessor accounting remains similar to the current standard.

The standard is effective for annual periods beginning on or after 1 January 2019. Early adoption is permitted for entities that apply SLFRS 15 at or before the date of initial application of SLFRS 16.

NOTES TO THE FINANCIAL STATEMENTS Contd.

	2017 Rs.	2016 Rs.
4. NET WRITTEN PREMIUM		
4 (a) Gross premium on insurance contracts	1,038,085,079	745,386,354
Total gross written premium	1,038,085,079	745,386,354
4 (b) Premium Ceded to Reinsurers on Insurance Contracts		
Conventional policies	28,370,148	24,436,905
Total premium ceded to reinsurers	28,370,148	24,436,905
Total net written premium	1,009,714,931	720,949,449

	2017 Rs.	2016 Rs.
5. FEES AND COMMISSION INCOME		
Policyholder administration fees	8,064,174	6,269,983
Total fees and commission income	8,064,174	6,269,983

	2017 Rs.	2016 Rs.
6. INVESTMENT INCOME		
Interest income		
Financial assets – Available-for-sale	50,955,485	27,337,801
Financial assets – Loans and receivable	112,802,387	86,810,262
Total investment income	163,757,872	114,148,063

	2017 Rs.	2016 Rs.
7. NET REALIZED GAINS/LOSSES		
Net realised gains/(losses)	85,349	(1,089,247)
Total net realized gains/(losses)	85,349	(1,089,247)

	2017 Rs.	2016 Rs.
8. OTHER OPERATING REVENUE		
Other operating revenue	5,872,807	4,773,224
Total other operating revenue	5,872,807	4,773,224

NOTES TO THE FINANCIAL STATEMENTS Contd.

	2017 Rs.	2016 Rs.
9. NET BENEFITS AND CLAIMS		
9 (a) Net Insurance Benefits and Claims Paid		
Gross benefits and claims paid		
Hospitalization	96,682,033	53,608,873
Death	4,476,225	8,011,208
Surrender payments	28,361,335	25,110,331
	129,519,593	86,730,412
Claims ceded to Reinsurers		
Hospitalization	(9,984,270)	(8,604,688)
Death	(1,793,500)	-
	(11,777,770)	(8,604,688)
Total net insurance benefits and claims paid	117,741,823	78,125,724
9 (b) Net Change in Insurance Claims Outstanding		
Gross change in contract liabilities		
Hospitalization	15,675,524	1,520,635
	15,675,524	1,520,635
Change in Contract Liabilities Ceded to Reinsurers		
Hospitalization	(13,660,300)	(648,213)
Total net change in insurance claims outstanding	2,015,224	872,422
Total net benefits and claims	119,757,047	78,998,147

	2017 Rs.	2016 Rs.
10. UNDERWRITING AND NET ACQUISITION COSTS		
Commission expenses	128,104,153	81,950,044
Direct marketing cost	224,190,757	132,274,725
	352,294,910	214,224,769

	Note	2017 Rs.	2016 Rs.
11. OTHER OPERATING AND ADMINISTRATIVE EXPENSES			
Employee benefits expense	11 (a)	65,924,446	50,972,306
Administration & establishment expenses		108,996,522	75,448,212
Selling expenses		38,390,287	18,160,124
Depreciation on property and equipment		12,099,932	6,817,379
Audit and non audit fee including expenses		1,529,510	1,331,000
Impairment of investment		-	-
Other cost		1,975,617	1,002,833
Total other operating and administrative expenses		228,916,314	153,731,854

NOTES TO THE FINANCIAL STATEMENTS Contd.

	2017 Rs.	2016 Rs.
11 (a) Employee Benefits Expense		
Wages and salaries including bonus & incentives	59,431,544	46,049,821
Contributions to employee benefit obligation plans	1,245,911	1,528,757
Employees' provident fund	4,100,178	2,737,406
Employees' trust fund	1,146,813	656,322
Total employee benefits expense	65,924,446	50,972,306

12. INCOME TAX EXPENSE

The major components of income tax expense for the years ended 31st December 2017 and 2016 are:

	2017 Rs.	2016 Rs.
12 (a) Current Year Tax Charge		
Current tax		
Income tax	-	-
Total current tax	-	-

	2017 Rs.	2016 Rs.
12 (b) Reconciliation of Tax Charge		
Profit/(Loss) before tax	206,013,214	107,889,171
Taxable investment income	118,576,378	92,002,849
Allowable expenses	(567,439,465)	(354,076,948)
Taxable income/(loss)	(448,863,087)	(262,074,099)
Statutory rate	28%	28%
Tax expense at applicable rate	-	-
Total tax charge for the year	-	-

The company is liable to pay income tax at the rate of 28 percent of its taxable profits in accordance with the provisions of Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto. There is no income tax expense recognised as Life Insurance does not have an income tax expense so far.

13. EARNING/(LOSS) PER SHARE

Basic earnings/(loss) per share amount is calculated the net profit for the year attributable to ordinary shareholders of the Company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2017 Rs.	2016 Rs.
Profit for the year	206,013,214	107,889,171
Weighted average number of ordinary shares (Nos.)	66,230,407	66,230,407
Basic earning per ordinary share Rs.	3.11	1.63

NOTES TO THE FINANCIAL STATEMENTS Contd.

	2017 Rs.	2016 Rs.
Weighted Average Number of Ordinary Shares		
Ordinary shares at the beginning of the year	66,230,407	66,230,407
Effect of issue of shares for cash consideration	-	-
	66,230,407	66,230,407

14. PROPERTY, PLANT & EQUIPMENT

	Office Equipment Rs.	Furniture & Fittings Rs.	Computer Rs.	Motor Vehicle Rs.	Total Rs.
Cost					
As at 1st January 2017	6,472,710	24,111,308	12,443,900	-	43,027,918
Additions	10,120,018	20,749,210	11,177,979	5,800,000	47,847,207
Disposals	-	-	-	-	-
As at 31st December 2017	16,592,728	44,860,518	23,621,879	5,800,000	90,875,125
Accumulated depreciation					
As at 1st January 2017	2,201,493	11,357,010	7,618,894	-	21,177,397
Depreciation charge for the year	2,563,620	5,354,715	3,118,264	1,063,333	12,099,932
Disposals	-	-	-	-	-
As at 31st December 2017	4,765,113	16,711,725	10,737,158	1,063,333	33,277,329
Carrying Amount					
As at 31st December 2017	11,827,615	28,148,793	12,884,721	4,736,667	57,597,796
As at 31st December 2016	4,271,217	12,754,298	4,825,006	-	21,850,521

14.1 Acquisition of Property, Plant & Equipment During the Year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 47.8 Million (2016 – Rs. 12 Million). Cash payments amounting to Rs. 47.8 Million (2016 – Rs. 12 Million) were made during the year to purchase property, plant & equipment.

14.2 Property, Plant & Equipment Pledged as Security for Liabilities

There were no items of property, plant & equipment pledged as securities for liabilities during the year. (2016 – Nil)

14.3 Temporarily Idle Property, Plant & Equipment

There were no temporarily idle property as at the year ended 31st December 2017. (2016 – Nil)

NOTES TO THE FINANCIAL STATEMENTS Contd.

14.4 Fully Depreciated Property, Plant & Equipment in Use

Property, Plant & Equipment includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated Property, Plant & Equipment which are still in use as at reporting date, is as follows:

As at 31st December	2017 Rs.	2016 Rs.
Computer	5,619,754	4,526,296
Furniture	5,510,860	2,533,181
Office Equipment	789,520	-
	11,920,134	7,059,477

15. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2017 Rs.	2016 Rs.
Loans and receivables	1,025,127,561	770,904,670
Available-for-sale financial assets	321,852,593	474,498,080
Total	1,346,980,154	1,245,402,750

The following table consists of the fair values of the financial investments together with their carrying values.

	Note	2017		2016	
		Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Loans and receivables	15 (a)	1,025,127,561	1,025,127,561	770,904,670	770,904,670
Available-for-sale financial assets	15 (b)	321,852,593	321,852,593	474,498,080	474,498,080
Total financial instruments		1,346,980,154	1,346,980,154	1,245,402,750	1,245,402,750

Available-for-sale investments have been valued at fair value and Loans and Receivable investments are valued at amortised cost.

	2017 Rs.	2016 Rs.
15 (a) Loans and Receivables		
Investment in corporate debt	584,079,538	443,356,097
Investment in fixed deposit	120,983,215	216,592,508
Investment in repos	360,064,808	150,956,065
	1,065,127,561	810,904,670
Provision for impairment	(40,000,000)	(40,000,000)
	1,025,127,561	770,904,670
15 (b) Available-for-Sale Financial Assets		
Treasury Bonds	321,852,593	353,127,809
Treasury Bills	-	121,370,271
	321,852,593	474,498,080

NOTES TO THE FINANCIAL STATEMENTS Contd.

15 (c) Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which Fair Value Approximates Carrying Value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed Rate Financial Instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

15 (d) Determination of Fair Value and Fair Values Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31st December 2017	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair value Rs.
Available for sale financial assets	321,852,593	-	-	321,852,593
	321,852,593	-	-	321,852,593
31st December 2016	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Fair value Rs.
Available-for-sale financial assets	474,498,080	-	-	474,498,080
	474,498,080	-	-	474,498,080

NOTES TO THE FINANCIAL STATEMENTS Contd.

	2017 Rs.	2016 Rs.
16. LOANS TO LIFE POLICYHOLDERS		
Movement of Policy loans		
Balance as at 1st January	105,855,758	22,825,441
Loans granted during the year	48,692,919	95,991,882
Repayments during the year	(11,934,551)	(12,961,565)
Balance as at 31st December	142,614,126	105,855,758
Interest receivable	15,097,044	5,819,957
Total loans to life policyholders	157,711,170	111,675,715

16.1 The surrender value of the policies for which policy loans have been granted as at 31st December 2017 amounted to Rs. 194.9 Million (2016 – Rs. 133 Million).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans.

This mitigates the Company's credit exposure on Policy Loans.

The Company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at fair value.

16.2 Impairment Losses on Loans to Life Policyholders

The Board of Directors has assessed potential impairment loss of loans to Life Policyholders as at 31st December 2017. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders.

	Note	2017 Rs.	2016 Rs.
17. REINSURANCE RECEIVABLE			
Reinsurance receivable on outstanding claims		17,230,205	4,234,952
Reinsurance receivable on settled claims	17.1	3,471,868	3,471,869
		20,702,073	7,706,821
17.1 Reinsurance Receivable from Munich Re		3,471,868	3,471,869
		3,471,868	3,471,869

17.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

17.3 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2017. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of Reinsurance Receivables. Please refer Note No. 30.3 (b) for Reinsurance rating analysis.

NOTES TO THE FINANCIAL STATEMENTS Contd.

	Relationship	Note	2017 Rs.	2016 Rs.
18. AMOUNTS DUE FROM RELATED PARTY				
Amounts due from related companies		18 (a)	181,589	-
18 (a) Related Party				
Richard Pieris & Company PLC	Ultimate Parent		181,589	-
			181,589	-

	2017 Rs.	2016 Rs.
19. PREMIUM RECEIVABLE		
Premium Receivable from Policyholders		
Third party	61,214,675	31,542,700
Related party	44,560,738	7,948,769
	105,775,413	39,491,469

	2017 Rs.	2016 Rs.
20. OTHER ASSETS		
Advances, deposits & prepayments	42,114,075	18,463,036
Taxation receivable	42,965,616	32,785,445
Inventories	9,238,521	3,081,059
	94,318,212	54,329,540

	2017 Rs.	2016 Rs.
21. CASH AND CASH EQUIVALENTS		
Cash in hand	276,266	211,026
Cash at bank	112,796,158	45,118,870
Short term investments	207,706,107	61,174,422
Total cash and cash equivalent balance	320,778,531	106,504,318

NOTES TO THE FINANCIAL STATEMENTS Contd.

22. FINANCIAL INSTRUMENTS

22.1 Financial Assets and Liabilities by Categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial Assets by Categories

As at 31st December

	Loans and Receivables		Available-for-Sale Financial Assets	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Financial investments	1,025,127,561	891,819,140	770,904,670	891,819,140
Loans to life policyholders	157,711,170	25,038,597	194,706,032	25,038,597
Premium receivables	105,775,413	57,886,185	39,491,469	57,886,185
Reinsurance receivable	20,702,073	5,747,323	7,706,821	5,747,323
Amounts due from related parties	181,589	182,801	-	182,801
Cash in hand and at bank	320,778,531	28,638,157	106,504,318	28,638,157
Total	1,630,276,337	1,009,312,203	1,119,313,310	1,009,312,203

Financial Liabilities by Categories

As at 31st December

Financial Liabilities Measured at Amortised Cost

	2017 Rs.	2016 Rs.
Reinsurance creditors	30,859,018	22,729,392
Amounts due to related parties	9,694,865	6,676,507
Financial liabilities	72,456,338	54,461,564
Total	113,010,221	83,867,463

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

23. STATED CAPITAL

Fully Paid Ordinary Shares

	2017		2016	
	Nos	Rs.	Nos	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Issue of shares for cash consideration	-	-	-	-
	66,230,407	675,564,870	66,230,407	675,564,870

	2017 Rs.	2016 Rs.
24. INSURANCE CONTRACT LIABILITIES		
Balance as at 1st January	726,047,856	436,177,616
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	436,459,576	350,207,532
Surplus transferred from/(to) shareholders	(155,945,927)	(60,000,000)
Increase in life insurance fund	280,513,649	290,207,532
Movement in AFS reserve transferred to life fund	18,895,495	(337,292)
Balance as at 31st December	1,025,457,000	726,047,856

Insurance Contract Liabilities – Life

The valuation of the Life Insurance business as at 31st December 2017 was assessed by M/S Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 1,025 Million which is adequate to cover the liabilities pertaining to the Life Insurance business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional nonparticipating Life Insurance products. The actuarial reserves have been established based upon the following:

- Interest rates which vary by product and as required by regulations issued by the Insurance Regulatory Commission of Sri Lanka.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the Insurance Regulatory Commission of Sri Lanka.

According to Solvency margin rules (Risk Based Capital) effective from 1st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. Our Actuary M/S Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320.084 Million on the RBC basis. As company has adopted a distribution basis for the liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the Valuation, the Life Insurance Fund included in the Financial Statements exceed the required actuarial reserves by Rs. 155.946 Million as at 31st December 2017 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 155.946 Million has been transferred to Shareholders fund from the Life Insurance Fund in 2017.

Liability Adequacy Test (LAT)

A Liability Adequacy Test (“LAT”) for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31st December 2017 as required by SLFRS 4 – Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary’s report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2017. No additional provision was required against the LAT as at 31st December 2017.

NOTES TO THE FINANCIAL STATEMENTS Contd.

25. EMPLOYEE BENEFIT OBLIGATIONS

Gratuity Benefit Obligation

	2017 Rs.	2016 Rs.
Balance as at 1st January	4,608,990	2,648,378
Current service cost	1,624,059	1,277,160
Interest cost on benefit obligation	553,079	251,596
Past service cost	(931,227)	-
Gratuity paid/payable	(320,500)	-
(Gain)/Loss arising from changes in assumptions	1,033,916	431,856
Balance as at 31st December	6,568,317	4,608,990
Expense Recognised in the Income Statement		
Interest cost	553,079	251,596
Current service cost	1,624,059	1,277,160
Net actuarial (gain)/loss	1,033,916	-
Past services	(931,227)	-
Amount Recognised in the Income Statement	2,279,827	1,528,756

The actuarial valuation for the gratuity liability was carried out as at 31st December 2017, by Mr. Poopalanathan, of M/S Actuarial and Management Consultants (Pvt) Ltd.

	2017	2016
25.1 Discount rate	10.5%	12.00%
Future salary increases	8%	8%
Retirement age	55 years	55 years

25.2 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	Rate Change	Impact to Financial Position-Increment/ (Reduction) of Liability	Impact to Comprehensive Income-Charged/(Reversal)
Discount rate	1%	(251,730)	(251,730)
Discount rate	-1%	271,547	271,547
Salary increment rate	1%	289,214	289,214
Salary increment rate	-1%	(272,414)	(272,414)

NOTES TO THE FINANCIAL STATEMENTS Contd.

25.3 Maturity Profile of Defined Benefit Obligation

	2017 Rs.	2016 Rs.
Less than one year	1,014,028	702,655
Between 1-2 years	1,885,464	1,290,760
Between 3-5 years	1,946,368	1,307,865
Beyond 5 years	1,722,456	1,307,710
	6,568,317	4,608,990

26. REINSURANCE CREDITORS

	2017 Rs.	2016 Rs.
Munich Re	28,380,724	20,251,098
Hannover Re	2,478,294	2,478,294
	30,859,018	22,729,392

27. AMOUNTS DUE TO RELATED PARTY

Note	2017 Rs.	2016 Rs.
Amounts due to related companies	27 (a) 9,694,866	6,676,507

27 (a) Related Party

	Relationship	2017 Rs.	2016 Rs.
Richard Pieris & Company PLC	Ultimate Parent	-	6,075,173
Richard Pieris Distributors Limited	Fellow Subsidiary	7,212,260	167,073
Arpitech (Pvt) Ltd.	Fellow Subsidiary	1,040,633	421,582
Arpico Interiors	Fellow Subsidiary	1,441,973	12,679
		9,694,866	6,676,507

28. OTHER FINANCIAL LIABILITIES

	2017 Rs.	2016 Rs.
Agency commission payable	36,539,496	24,422,853
Accrued expenses	2,250,788	17,089,737
Claims outstanding	33,666,054	12,948,974
	72,456,338	54,461,564

	2017 Rs.	2016 Rs.
29. OTHER LIABILITIES		
Policyholder advance payments	24,944,500	17,183,823
Other taxes payable	867,875	543,114
	25,812,375	17,726,937

30. RISK MANAGEMENT FRAME WORK

30.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The company is exposed to the following risks.

- Insurance Risk
 - Life Insurance contracts
 - Reinsurance
- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk
 - Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

30.2 Risk Management Framework

(a) Governance Framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

(b) Capital Management Objectives, Policies and Approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to Capital Management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

(c) Regulatory Framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRC SL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRC SL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

30.3 Insurance Risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life Insurance Risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death/permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability

The main risk that the company is exposed to under Life Insurance Contracts are as follows:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the Company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below:

Life Underwriting Risk Management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

Life Claims Risk Management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising CEO, Assistant Manager – Life Insurance and Head of Finance) is involved in taking decisions on significant/problematic claims and appeals made in respect of claims.

(b) Reinsurance Risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	AA-	A.M. Best
Hannover Re	AA-	A.M. Best

NOTES TO THE FINANCIAL STATEMENTS Contd.

Some of the specific actions by the Company to mitigate Reinsurance Risks are shown below:

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit Exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures and has been derived as per the company risk management policy of using the carrying values in the statement of financial position.

As at 31st December	2017 Rs '000	% of Allocation	2016 Rs '000	% of Allocation
Financial Investments				
Debt securities – Loans and receivables	1,025,128	52.50	770,905	51.02
Debt securities – Available for sale	321,853	16.49	474,498	31.41
Total debt securities	1,346,981	68.99	1,245,403	82.43
Life Policyholders loans	157,711	8.08	111,676	7.39
Reinsurance receivable	20,702	1.06	7,707	0.51
Amounts due from related party	182	0.01	-	-
Premiums receivable	105,775	5.42	39,491	2.61
Cash in hand and at bank	320,779	16.44	106,504	7.06
Total credit risk exposure	1,952,130	100.00	1,510,781	100.00

As of December 31st 2017 the largest credit risk exposure of 68 percent (2016 – 82%) is arising from investments in debt securities.

Credit Risk – Financial Investments in Debt Securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

NOTES TO THE FINANCIAL STATEMENTS Contd.

As at 31st December	2017 Rs '000	% of Allocation	2016 Rs '000	% of Allocation
Financial Investments				
Government securities and related institutions	681,918	51	625,454	50
Corporate debt securities	544,080	40	403,356	33
Deposits	120,983	9	216,593	17
Total debt securities	1,346,981	100	1,245,403	100

(i) Government Securities

As shown in table above, as at 31st December 2017, 51 percent (2016 – 50%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate Debt Securities

As at 31 December 2017, corporate debt securities comprise 41 percent (2016 – 33%) of the total investments which were rated “A-” or better (2016 – 100%)

Corporate debt security allocation 2017 vs 2016 – credit rating wise

As at 31st December	2017		2016	
Rating	Rs. '000	% of Total	Rs. '000	% of total
AA+ AA-	202,476	37	305,658	76
A+ A-	341,604	63	97,698	24
BBB BB-	-	-	-	-
Not rated *	-	-	-	-
Total	544,080	100	403,356	100

Comprises Rs. 544 Million (2016 – Rs. 403 Million) with an issuer rating above “A-”.

(iii) Concentration Risk of Corporate Debt Securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 157 Million (2016 – Rs. 111 Million) and its related surrender value is Rs. 194.9 Million (2016 – Rs. 133 Million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 330 Million at 31 December 2017 (2016 – Rs. 106 Million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated A+ or better.

NOTES TO THE FINANCIAL STATEMENTS Contd.

30.5 Liquidity Risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic/unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Maturity Profiles

The table below summarises the maturity profile of the non-derivative financial assets of the Company based on remaining contractual obligations.

As at 31st December 2017	Carrying Amount Rs '000	Up to a Year Rs '000	1-3 Years Rs '000	3-5 Years Rs '000	5-10 Years Rs '000	Total Rs '000
Financial Assets						
Loans & Receivables	1,025,128	368,350	248,127	408,651	-	1,025,128
Available for sale	321,853	200,376	70,224	51,253	-	321,853
Life Policyholders loans	157,711	2,968	23,774	72,063	58,906	157,711
Reinsurance receivable	20,702	20,702	-	-	-	20,702
Premiums receivable	105,775	105,775	-	-	-	105,775
Cash and cash equivalents	320,779	320,779	-	-	-	320,779
Total assets	1,951,948	1,018,950	342,125	531,967	58,906	1,951,948

As at 31st December 2017	Carrying Amount Rs '000	Up to a Year Rs '000	1-3 Years Rs '000	3-5 Years Rs '000	5-10 Years Rs '000	Total Rs '000
Financial Liabilities						
Reinsurance Creditors	30,859	30,859	-	-	-	30,859
Amounts Due to Related Party	9,695	9,695	-	-	-	9,695
Other Financial Liabilities	72,457	72,457	-	-	-	72,457
Total liabilities	113,011	113,011	-	-	-	113,011

NOTES TO THE FINANCIAL STATEMENTS Contd.

As at 31st December 2016	Carrying Amount Rs '000	Up to a Year Rs '000	1-3 Years Rs '000	3-5 Years Rs '000	5-10 Years Rs '000	Total Rs '000
Financial Assets						
Loans & Receivables	770,905	434,952	112,912	223,041	-	770,905
Available for sale	474,498	171,066	256,863	-	46,569	474,498
Life Policyholders loans	111,676	4,096	11,738	61,285	34,557	111,676
Reinsurance receivable	7,707	7,707	-	-	-	7,707
Premiums receivable	39,491	39,491	-	-	-	39,491
Cash and cash equivalents	106,504	106,504	-	-	-	106,504
Total assets	1,510,781	763,816	381,513	284,326	81,126	1,510,781

As at 31st December 2016	Carrying Amount Rs '000	Up to a Year Rs '000	1-3 Years Rs '000	3-5 Years Rs '000	5-10 Years Rs '000	Total Rs '000
Financial Liabilities						
Reinsurance Creditors	22,729	22,729	-	-	-	22,729
Amounts Due to Related Party	6,677	6,677	-	-	-	6,677
Other Financial Liabilities	54,462	54,462	-	-	-	54,462
Total liabilities	83,868	83,868	-	-	-	83,868

30.6 Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk) and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the Company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency Risk

Currency risk is the risk that the fair value/present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

(b) Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (that reflects adjustments to profit before tax and revaluing available-for-sale financial assets).

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the availability of long-term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity Price Risk

Equity price risk is the risk that the fair value/present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

30.7 Operational Risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

NOTES TO THE FINANCIAL STATEMENTS Contd.

31. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party in Sri Lanka Accounting Standard, LKAS 24 “Related Party Disclosures”.

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance’s related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the Ultimate Controlling Party of the Company.

Richard Pieris & Company PLC is the parent/ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows:

(i) Insurance contracts transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2017 Rs.	2016 Rs.
Insurance premium received/receivable	45,415,398	46,801,469
Claim paid	(35,109,005)	(18,573,445)

(ii) Other Transactions with the Ultimate Controlling Party of the Company.

Nature of the Transaction	2017 Rs.	2016 Rs.
Interest received/receivables	1,765,074	189,979
Administrative expenses reimbursement	(87,775,665)	(56,169,316)
Fund transfers	93,283,635	49,682,394
Dividend paid	(5,445,000)	-

(b) Transactions with Key Management Personnel (KMP) of the Company and Close Family Members.

According to Sri Lanka Accounting Standard LKAS 24 “Related Party Disclosures”, Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors (Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the Company.

	2017 Rs.	2016 Rs.
Short-term employee benefits	400,000	-

NOTES TO THE FINANCIAL STATEMENTS Contd.

(c) Transaction with/between subsidiary companies of parent company

Nature of the Transaction Fellow Subsidiaries	2017 Rs.	2016 Rs.
Claim Paid	(3,821,548)	(4,027,216)
Insurance Premium Received/Receivable	9,859,438	11,636,840
Purchase of Fixed Assets	(13,814,237)	(3,293,707)
Rent Paid	(7,499,897)	(905,416)
Dividend Paid	(16,011,001)	-
Fee, Commission and Brokerage Paid	-	(290,229)
Others	(1,991,581)	(2,279,871)

(d) Recurrent Related Party Transactions

The aggregate value of the recurrent Related Party Transactions that exceeds 10 percent of the gross written premium as per the Colombo Stock Exchange listing rule 9.3.2 (b) are as follows.

Name of the Related Party	Relationship	Nature of the Transaction	Aggregate Value of Related Party Transactions Entered into During the Financial Year (LKR)	Aggregate Value of Related Party Transactions as a % of Net Revenue / Income	Terms and Conditions of the Related Party Transactions
Richard Pieris & Company PLC	Parent Company	Fund transfers	93,283,635	13%	Ordinary business transactions
		Administrative expenses reimbursement	(87,775,665)	12%	

(e) Non Recurrent Related Party Transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10 percent of the equity or 5 percent of the total assets which ever is lower of the Company as per 31st December 2016 Audited Financial Statements, which required additional disclosures in the 2017 Annual Report under Colombo stock exchange listing rule 9.3.2.

32. COMMITMENT AND CONTINGENCIES

There were no Capital Commitments and Contingent Liabilities as at the reporting date.

33. EVENTS OCCURRING AFTER THE REPORTING PERIOD

All material post reporting period events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.



SUPPLEMENTARY INFORMATION

SHAREHOLDER INFORMATION

ARPICO INSURANCE PLC

Share Ledger Management System

Twenty Largest Shareholders

Name Of The Shareholder	2017 Shareholding	2017 % on Issued Shares	2016 Shareholding	2016 % on Issued Shares
01 Kegalle Plantation PLC	26,685,001	40.29	26,685,001	40.29
02 Richard Pieris Distributors Limited	17,790,001	26.86	17,790,001	26.86
03 Richard Pieris and Company PLC	15,125,001	22.84	15,125,001	22.84
04 Mr. J P Paul	1,484,167	2.24	1,023,245	1.55
05 Mr. C S N Silvapulle	668,399	1.01	-	-
06 Mr. S Sivashanth	400,000	0.60	180,000	0.27
07 Mr. H V Senaweera	393,316	0.59	385,870	0.58
08 Mr. P B Perera	299,716	0.45	-	-
09 Mr. A P Arumugampillai	200,000	0.30	304,000	0.46
10 Mr. B A R Dissanayake	200,000	0.30	200,000	0.30
11 Peoples Leasing & Finance PLC/ Mr. K J Gamage	172,339	0.26	-	-
12 Mr. R Arifeen	165,480	0.25	-	-
13 Mr. G D R Fonseka	161,000	0.24	-	-
14 Pan Asia Banking Corporation PLC/ Mr. S Gobinath	154,999	0.23	154,999	0.23
15 Mrs. M S E V E A U Von Stumm	150,000	0.23	150,000	0.23
16 Mr. C A Elankainesan	145,829	0.22	-	-
17 Dr. A S Wijenayaka	145,284	0.22	122,110	0.18
18 Mr. F N Herft	143,811	0.22	135,000	0.20
19 Mr. S A Obeyesekere	103,300	0.16	78,300	0.12
20 Mrs. M P B Fernando	100,000	0.15	15,000	0.02
	64,687,643	97.66	62,348,527	94.13

Composition of Shareholders

Public Shareholdings	2017		2016	
	No. of Shares	% on Issued Shares	No. of Shares	% on Issued Shares
No. of shares	6,630,400	10.10	6,630,400	10.10
No. of shareholders	530	98.69	543	98.73

SHAREHOLDER INFORMATION Contd.

Resident and Non-Resident shareholdings

Public Shareholdings	2017				2016			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Resident	523	97.39	64,196,801	96.93	536	97.45	64,658,089	97.88
Non-resident	14	2.61	2,033,606	3.07	14	1.76	1,572,318	2.12
Grand Total	537	100	66,230,407	100	550	99.21	66,230,407	100.00

Distribution Of Shareholding

	2017				2016			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Less than Or Equal								
1-1,000	385	71.70	106,367	0.16	378	68.71	120,591	0.17
1,001-10,000	101	18.81	419,280	0.63	120	21.82	501,731	0.76
10,001-100,000	32	5.96	1,117,117	1.69	36	6.55	1,262,011	1.91
100,001-1,000,000	15	2.79	3,503,473	5.29	12	2.19	3,687,206	5.57
Over 1,000,000	4	0.74	61,084,170	92.23	4	0.73	60,658,868	91.59
Grand Total	537	100	66,230,407	100	550	100.00	66,230,407	100

Directors' Shareholdings

There is no shareholding by the directors as at 31st December 2017

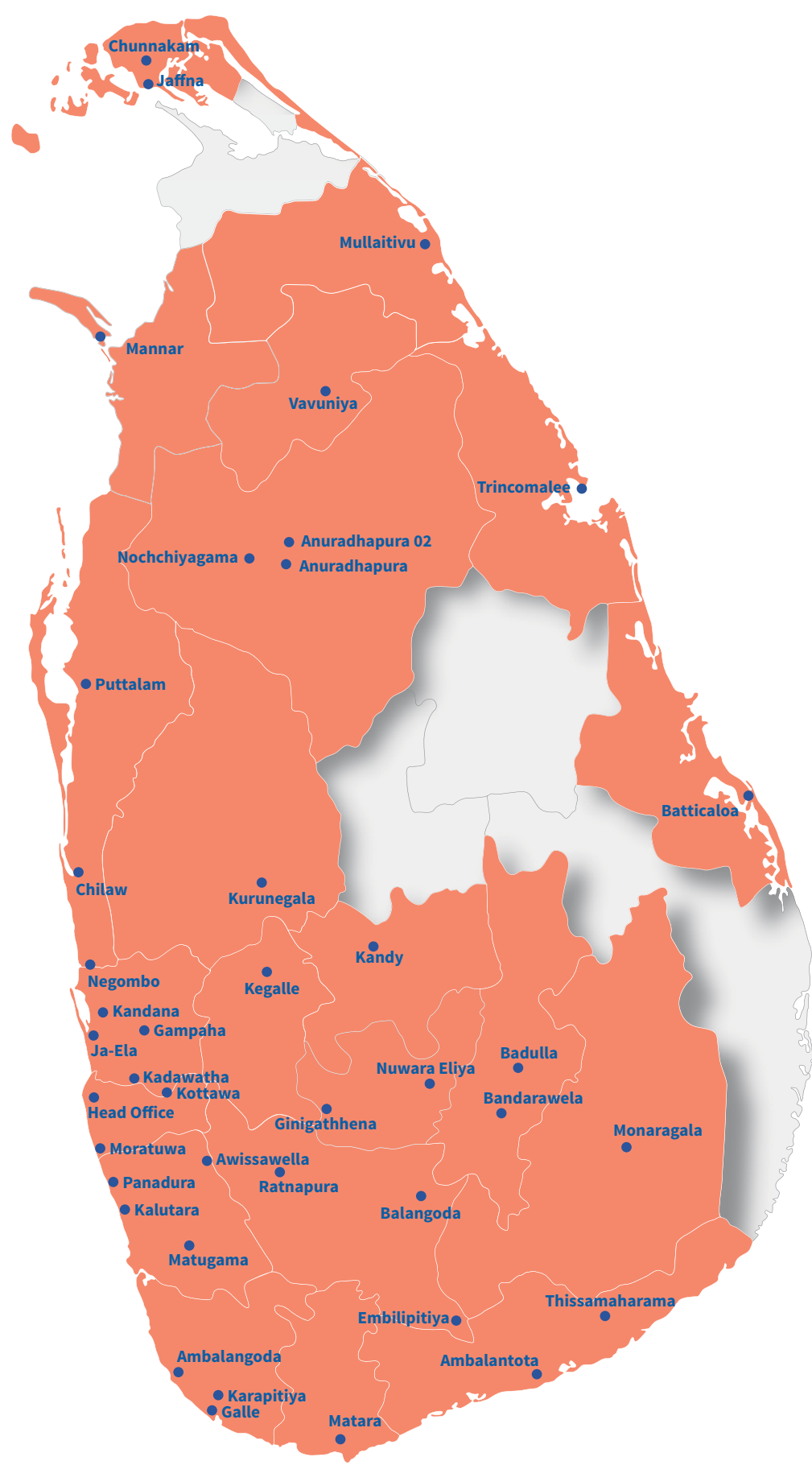
Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Share

Share Performance

Net Asset Value Per Share as at 31st December 2017	14.00
Highest Price Per Share for the Period	20.0
Lowest Price Per Share for the Period	11.3
Last traded Price Per Share as at 31st December 2017	17.0

BRANCH NETWORK



GLOSSARY OF INSURANCE TERMS

Actuarial Valuation

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company hold adequate assets to fund the Company's liabilities.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

Claims Outstanding – Long Term Insurance

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

Commission

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

Deposit Premium

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

Endowment

Life insurance payable to the policyholder if Living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

Gross Written Premium – Life

Premium to which the insurer is contractually entitled and received in the accounting period.

Insurance

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

Insurance Provision – Long Term

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Surplus

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

Long Term Insurance

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

Maturity

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Net Written Premium

Gross written premium less reinsurance premium payable.

Net Claims Incurred

Claims incurred less reinsurance recoveries.

GLOSSARY OF INSURANCE TERMS Contd.

Policy Loans

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

Premium

The consideration payable by the insured for an insurance contract.

Profit Commission

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

Revenue Account

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

Reinsurance

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

Reinsurance Commission

Commission received or receivable in respect of premium paid or payable to a reinsurer.

Reinsurance Premium

The premium payable to the reinsurer.

Solvency Margin - Life

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

Surrender

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

Surrender Value

The sum payable by an insurance Company upon the surrender of a Life insurance policy before it has run its full course.

Combined Ratio

Sum of the loss ratio and expense ratio.

Fair Value

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

Available for Sale (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position and changes in value are taken straight to equity instead of the income statement.

Cash Flow Statement

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

Corporate Governance

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

Earnings per Share

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixth (06th) Annual General Meeting of Arpico Insurance PLC will be held at the Registered Office, No. 310, High Level Road, Nawinna, Maharagama on Friday, 27th April 2018 at 2.30 p.m. and the business to be brought before the meeting will be as follows:

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2017 with the Report of the Auditors thereon.
2. To approve the appointment of Mr. Saravanapavan Sirikananathan as a Director.

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Richard Pieris Distributors Limited, No. 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

"That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 72 years of age be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan".

The Company has also received a letter dated 19th March 2017 from Mr. Saravanapavan Sirikananathan declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Richard Pieris Distributors Limited and Mr. Saravanapavan Sirikananathan decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

3. To approve the appointment of Mr. Warnakulapatabendige Joseph Viville Praxidus Perera as a Director.

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Kegalle Plantations PLC, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

"That Mr. Warnakulapatabendige Joseph Viville Praxidus Perera of 33C1, King's Gate, Keells Housing Scheme, Buthgamuwa Road, Kalapaluwawa, Rajagiriya, who is 70 years of age be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr. Viville P Perera".

The Company has also received a letter dated 19th March 2017 from Mr. Viville P Perera declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Kegalle Plantations PLC and Mr. Viville P Perera decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

4. To re-elect Ms. Lasinee Serasinhe who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.
5. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
6. To authorize the Directors to determine contributions to charities.
7. To consider any other business of which due notice has been given.

By Order of the Board



Richard Pieris Group Services (Private) Limited
Secretaries

No. 310, High Level Road, Nawinna, Maharagama
20th March 2018

Note:

- (a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- (b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report.

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama, not less than 48 hours before the time appointed for the holding of the meeting.

NOTES

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NOTES

This image shows a full page of a document template designed for handwriting practice. It features approximately 30 evenly spaced, horizontal grey lines across the entire width of the page. The lines are thin and light, providing a guide for letter height without being distracting. There are no margins, text, or other markings present on the page.

FORM OF PROXY

I/We* (in block letters) of
..... being a member/members
of the ARPICO INSURANCE PLC, hereby appoint
..... of

whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing SARAVANAPAVAN SIRIKANANATHAN
whom failing LASINEE SRIYANTHIE AMALA SERASINHE whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE* as
my/our proxy to represent me/us and to vote on my/our behalf at the 6TH ANNUAL GENERAL MEETING of the Company to be held
on 27th April 2018 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:

	In Favour	Against
01. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2017 with the Report of the Auditors thereon.	☐	☐
02. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. S Sirikananathan at the Annual General Meeting, a Director.	☐	☐
03. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. Viville Perera at the Annual General Meeting, a Director.	☐	☐
04. To re-elect Mrs. Lasinee Serasinhe , who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.	☐	☐
05. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
06. To authorize the Directors to determine contributions to charities.	☐	☐
07. To consider any other business of which due notice has been given.	☐	☐

Dated this day of 2018.

Signature of shareholder

Notes:

- (i) Please delete the inappropriate words.
- (ii) A proxy need not be a member of the Company.
- (iii) Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama, not later than 2.30 p.m. on Wednesday, 25th April 2018.

In perfecting the Form of Proxy, please ensure that all details are legible.

In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.

Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.

This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

CORPORATE INFORMATION

The Company

Arpico Insurance PLC

Legal Form of the Company

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007

Company Registration No.

P B 4739 P Q

Stock Exchange Listing

The shares of the Company are Listed on the Colombo Stock Exchange, *Diri Savi* Board

Place of Incorporation

Colombo, Sri Lanka

Accounting Year-end

December 31

Tax Payer Identification Number (TIN)

1340473990000

Registered Office

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

Corporate Office

Arpico Insurance PLC
55/20, Vauxhall Lane, Colombo 02.
Tel : 011 5 900 900
Fax: 011 2 330 713

Board of Directors of AINS

Mr. Viville Perera
Mr. Shiron Gooneratne
Mr. S Sirikananathan
Mrs. Lasinee Serasinhe

Secretaries of the Company

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax: 011 4 310 777

Auditors to the Company

Ernst & Young Chartered Accountants
201, De Saram Place, Colombo 10.
Tel : 011 2 463 500
Fax: 011 2 697 369

Consultant Actuary

M/S Actuarial Partners Consulting Sdn Bhd.

Bankers to the Company

National Development Bank PLC
40, Navam Mawatha, Colombo 02.
Tel : 011 2 448 448
Fax: 011 2 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21,
Sir Razik Fareed Mawatha,
Colombo 01.
Tel : 011 2 430 420
Fax: 011 2 336 706



Arpico Insurance PLC

No. 55/20, Vauxhall Lane, Colombo 02.
Tel: 00 94 11 5900 900 Fax: 00 94 11 2330 713
E-mail: info@arpicoinsurance.com
www.arpicoinsurance.com